

UCHUMI SUPERMARKETS LIMITED
AND SUBSIDIARIES

ANNUAL REPORT
AND FINANCIAL STATEMENTS

30 JUNE 2015

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2015

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UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2015

PRINCIPAL PLACE OF BUSINESS

Uchumi Supermarkets Limited
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

REGISTERED OFFICE

Uchumi Supermarkets Limited
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P.O. Box 48400
00100 NAIROBI

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
P.O. Box 30120
00100 NAIROBI

Equity Bank Limited
NHIF Building
P.O. Box 75104
00200 NAIROBI

Commercial Bank of Africa
Mara and Ragati Roads - Upper Hill
P.O. Box 30437
00100 NAIROBI

National Bank of Kenya Limited
KEBS Compound
South C
P.O. Box 38645
00100 NAIROBI

Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P.O. Box 48231
00100 NAIROBI

AUDITOR

Ernst & Young LLP
Kenya Re Towers - Upper Hill
P.O. Box 44286
00100 NAIROBI

REGISTRARS

Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O. Box 1133
00200 NAIROBI

SECRETARY

John Kiumi Wambugu
Uchumi Supermarkets Limited
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
REPORT OF DIRECTORS
FOR THE YEAR ENDED 30 JUNE 2015

The directors submit their report and the audited financial statements for the year ended 30 June 2015 which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in note 7 to the financial statements.

2. OPERATIONS OF THE COMPANY

On 31 May 2006, the Board and Management of Uchumi Supermarkets Limited passed a resolution to cease trading and the company operations were shut down, a closure that lasted from 1 June 2006 to 14 July 2006.

Following the decision to cease trading, the company's debenture holders were compelled to appoint Receiver Managers on 02 June 2006. Subsequently, the Government of Kenya appointed a Task Force, in collaboration with the debenture holders, to work out a 'rescue plan' for the company. On the recommendation of the Task Force, a Framework Agreement relating to a business rescue plan was drawn and was entered into between the company, debenture holders, the Government of Kenya and unsecured creditors.

On 14 July 2006, the debenture holders appointed a Specialist Receiver Manager and the company re-opened for operations on 15 July 2006.

The group put in place Uchumi Rescue Plan (URP) whose mandate was derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business.

On 4 March 2010, the debenture holders lifted the receivership. On 31 May 2011, the company shares started trading at the Nairobi Stock Exchange after the Capital Markets Authority lifted the suspension.

Subsequent to the year ended 30 June 2015, the Board of Uchumi Supermarkets Limited resolved to cease the operations of the company's subsidiaries in Uganda and Tanzania. This was mainly due to the loss making history of the subsidiaries.

3. RESULTS

The group's and the company's results are set out on pages 8 and 11, respectively.

4. DIVIDEND

The directors do not recommend payment of a dividend in respect to the year ended 30 June 2015 (2014: KShs.0.30 per ordinary share).

5. RESERVES

The reserves of the group and the company are set out in Note 14.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
REPORT OF DIRECTORS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

6. DIRECTORS

The directors who served during the year until the date of this report were:-

Ms. Khadija Mire	- Chairperson
Dr. Jonathan Ciano	- Resigned June 2015
Mr. Julius Kipngetich	- CEO appointed September 2015
Dr. Ibrahim Mohamed	- Principal Secretary, for Commerce and Tourism
Ms. Faith Nene	- Representing Industrial & Commercial Development Corporation appointed August 2015
Ms. Mbatha Mbithi	- Resigned July 2015
Mr. Edwin Kinyua	- Resigned November 2014
Mr. Samuel Kimani	- Appointed May 2015
Mr. Sam Oduor	- Appointed June 2015
Mr. Polycarp Igathe	- Appointed May 2015
Ms. Margaret Kositany	- Appointed May 2015
Mr. Willy Kimani	- Appointed September 2015
Mr. James Ruhiru Murigu	- Resigned August 2015
Mr. Bartholomew Ragalo	

7. FINANCIAL STATEMENTS

At the date of this report, the directors were not aware of any circumstances which would have rendered the values attributed to assets and liabilities in the financial statements of the group, misleading.

8. AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with the provisions of section 159 (2) of the Kenyan Companies Act.

By Order of the Board

Secretary

.....2015

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
STATEMENT OF DIRECTORS' RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2015

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group and of the company for that year. It also requires the directors to ensure the group and the company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs and of the operating results of the group and the company. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Subsequent to the year ended 30 June 2015, the Board of Uchumi Supermarkets Limited resolved to cease the operations of the company's subsidiaries in Uganda and Tanzania. This was mainly due to the loss making history of the subsidiaries. The subsidiaries are therefore not a going concern.

.....
Director

.....
Director

.....
Date

REPORT OF THE INDEPENDENT AUDITORS
TO THE MEMBERS OF
UCHUMI SUPERMARKETS LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Uchumi Supermarkets Limited (the "Company") and its subsidiaries (collectively referred to as the "Group") as set out on pages 7 to 63, which comprise the statement of financial position of the Group and the Company as at 30 June 2015 and the income statement of the Group and the Company, statement of comprehensive income of the Group and the Company, statement of changes in equity of the Group and the Company, statement of cash flows of the Group and the Company for the year then ended and a summary of significant accounting policies and other explanatory information.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Group and the Company as at 30 June 2015 and the financial performance and cash flows of the Group and the Company for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) In our opinion, proper books of account have been kept by the Group and the Company, so far as appears from our examination of those books; and
- iii) The Group's and the Company's statement of financial position, income statement and statement of comprehensive income are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditors' report is
CPA Michael Kimoni - P/No. P.1586

Nairobi

.....2015

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	3(a)	2,155,957	2,733,101
Investment properties	4	2,300,000	2,200,000
Intangible assets	5	7,827	12,546
Prepaid operating lease rentals	6	18,932	19,201
Deferred tax asset	8.1	42,243	-
		<u>4,524,959</u>	<u>4,964,848</u>
CURRENT ASSETS			
Property and equipment	3(a)	408,583	-
Intangible assets	5	190	-
Inventories	9	923,007	1,333,218
Trade and other receivables	10	307,374	372,698
Tax recoverable	8.1	3,457	4,938
Bank and cash balances	12	134,676	243,145
		<u>1,777,287</u>	<u>1,953,999</u>
TOTAL ASSETS		<u><u>6,302,246</u></u>	<u><u>6,918,847</u></u>
EQUITY AND LIABILITIES			
EQUITY			
Share capital	13	1,824,808	1,327,133
Reserves	14	(1,085,453)	2,010,209
		<u>739,355</u>	<u>3,337,342</u>
NON-CURRENT LIABILITIES			
Deferred tax	8.1	-	78,185
Term loans	15	-	99,185
Obligation under Finance Lease	16	382,944	-
		<u>382,944</u>	<u>177,370</u>
CURRENT LIABILITIES			
Trade and other payables	17	3,859,318	2,567,233
Obligation under Finance Lease	16	565,732	-
Deferred revenue	18	29,861	26,105
Tax payable	8.1	19,699	1,191
Term loans	15	266,032	716,032
Bank overdraft	12	439,305	93,574
		<u>5,179,947</u>	<u>3,404,135</u>
TOTAL EQUITY AND LIABILITIES		<u><u>6,302,246</u></u>	<u><u>6,918,847</u></u>

The financial statements were approved by the Board of Directors on.....2015
and were signed on its behalf by:-

.....
Director

.....
Director

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
REVENUE			
Sales	19	12,888,974	14,364,844
Income from redemption of loyalty points	18	<u>65,607</u>	<u>92,843</u>
		12,954,581	14,457,687
COST OF SALES	20	<u>(10,816,813)</u>	<u>(11,643,604)</u>
		2,137,768	2,814,083
OTHER INCOME	21	<u>450,610</u>	<u>581,831</u>
		<u>2,588,378</u>	<u>3,395,914</u>
EXPENSES:-			
Administration and establishment	22	(4,668,440)	(3,498,676)
Selling and distribution	23	<u>(148,111)</u>	<u>(119,821)</u>
		<u>(4,816,551)</u>	<u>(3,618,497)</u>
LOSS FROM OPERATING ACTIVITIES		(2,228,173)	(222,583)
CHANGE IN FAIR VALUE OF INVESTMENT PROPERTIES	4	100,000	720,000
PROVISIONS AND WRITE OFFS	22	<u>(1,049,037)</u>	<u>-</u>
		(3,157,238)	497,417
FINANCE COSTS	24	<u>(335,854)</u>	<u>(64,640)</u>
(LOSS)/PROFIT BEFORE TAX	25	(3,513,064)	432,777
INCOME TAX CREDIT / (EXPENSE)	8.2	<u>91,704</u>	<u>(68,461)</u>
(LOSS)/PROFIT FOR THE YEAR		<u>(3,421,360)</u>	<u>364,316</u>
ATTRIBUTABLE TO:			
Owners of the parent		<u>(3,421,360)</u>	<u>364,316</u>
EARNINGS PER SHARE			
Basic and diluted - KShs.	26	<u>(10.85)</u>	<u>1.37</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
(LOSS)/PROFIT FOR THE YEAR		(3,421,360)	364,316
OTHER COMPREHENSIVE INCOME:			
Net other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Revaluation of land and buildings	3(a)	-	298,084
Deferred tax effect on revaluation surplus	8.1	-	(89,425)
		-	208,659
Net other comprehensive income to be reclassified to profit or loss in subsequent periods			
Exchange differences on translation of foreign entity		124,283	(81,418)
Income tax effect		-	-
Other comprehensive income for the year, net of taxes		124,283	(81,418)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAXES		<u>(3,297,077)</u>	<u>491,557</u>
ATTRIBUTABLE TO:			
Owners of the parent		<u>(3,297,077)</u>	<u>491,557</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	3(b)	2,155,957	2,304,436
Intangible assets	5	7,827	12,278
Prepaid operating lease rentals	6	18,932	19,201
Investment in subsidiaries	7	200	205,129
Deferred tax asset	8.1	152,993	-
		<u>2,335,909</u>	<u>2,541,044</u>
CURRENT ASSETS			
Inventories	9	747,739	1,087,007
Trade and other receivables	10	268,924	333,162
Amounts due from related parties	11	133,103	1,205,512
Tax Recoverable	8.1	3,457	-
Bank and cash balances	12	121,945	219,919
		<u>1,275,168</u>	<u>2,845,600</u>
TOTAL ASSETS		<u><u>3,611,077</u></u>	<u><u>5,386,644</u></u>
EQUITY AND LIABILITIES			
EQUITY			
Share capital	13	1,824,808	1,327,133
Reserves	14	(2,472,843)	1,256,352
		<u>(648,035)</u>	<u>2,583,485</u>
NON CURRENT LIABILITIES			
Deferred tax	8.1	-	78,185
Term loans	15	-	99,185
Obligation under Finance Leases	16	382,944	-
		<u>382,944</u>	<u>177,370</u>
CURRENT LIABILITIES			
Trade and other payables	17	3,102,520	1,897,663
Obligation under Finance Leases	16	157,190	-
Deferred revenue	18	15,176	10,903
Tax payable	8.1	-	1,191
Term loans	15	266,032	716,032
Bank overdraft	12	335,250	-
		<u>3,876,168</u>	<u>2,625,789</u>
TOTAL EQUITY AND LIABILITIES		<u><u>3,611,077</u></u>	<u><u>5,386,644</u></u>

The financial statements were approved by the Board of Directors on.....2015
and were signed on its behalf by:-

.....
Director

.....
Director

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
REVENUE			
Sales	19	11,389,704	12,421,044
Income from redemption of loyalty points	18	<u>65,607</u>	<u>80,142</u>
		11,455,311	12,501,186
COST OF SALES	20	<u>(9,592,566)</u>	<u>(10,138,799)</u>
		1,862,745	2,362,387
OTHER INCOME	21	<u>404,690</u>	<u>526,859</u>
		2,267,435	2,889,246
EXPENSES:-			
Administration and establishment	22	(3,383,767)	(2,527,084)
Selling and distribution	23	<u>(118,861)</u>	<u>(117,963)</u>
		<u>(3,502,628)</u>	<u>(2,645,047)</u>
(LOSS)/PROFIT FROM OPERATING ACTIVITIES		(1,235,193)	244,199
IMPAIRMENT OF SUBSIDIARIES	22	(1,699,381)	-
PROVISIONS AND WRITE OFFS	22	<u>(1,049,037)</u>	<u>-</u>
		(3,983,611)	244,199
FINANCE COSTS	24	<u>(173,545)</u>	<u>(64,640)</u>
(LOSS)/PROFIT BEFORE TAX	25	(4,157,156)	179,559
INCOME TAX CREDIT / (EXPENSE)	8.2	<u>226,546</u>	<u>(68,461)</u>
(LOSS)/PROFIT FOR THE YEAR		<u>(3,930,610)</u>	<u>111,098</u>
EARNINGS PER SHARE			
Basic and diluted - KShs.	26	<u>(10.77)</u>	<u>0.42</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
(LOSS)/PROFIT FOR THE YEAR		<u>(3,930,610)</u>	<u>111,098</u>
OTHER COMPREHENSIVE INCOME:			
Net other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Revaluation of land and buildings	3(b)	-	298,084
Deferred tax effect	8.1	<u>-</u>	<u>(89,425)</u>
Other comprehensive income for the year, net of taxes		<u>-</u>	<u>208,659</u>
TOTAL COMPREHENSIVE INCOME FOR THE YEAR NET OF TAXES		<u>(3,930,610)</u>	<u>319,757</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2015

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Translation reserve KShs'000	Retained earnings KShs'000	Total KShs'000
At 1 July 2013	<u>1,327,133</u>	<u>1,090,015</u>	<u>689,816</u>	<u>(77,124)</u>	<u>(104,428)</u>	<u>2,925,412</u>
Profit for the year as restated	-	-	-	-	364,316	364,316
Other comprehensive income for the year	-	-	<u>208,659</u>	<u>(81,418)</u>	-	<u>127,241</u>
Total comprehensive Income	-	-	208,659	(81,418)	364,316	491,557
Transfer to retained earnings	-	-	(10,842)	-	10,842	-
Dividends paid(note 27)	-	-	-	-	<u>(79,627)</u>	<u>(79,627)</u>
At 30 June 2014	<u>1,327,133</u>	<u>1,090,015</u>	<u>887,633</u>	<u>(158,542)</u>	<u>191,103</u>	<u>3,337,342</u>
At 1 July 2014	1,327,133	1,090,015	887,633	(158,542)	211,075	3,357,314
Adjustment on correction of error (net of tax)	-	-	-	-	<u>(19,972)</u>	<u>(19,972)</u>
At 1 July 2014 (Restated*)	1,327,133	1,090,015	887,633	(158,542)	191,103	3,337,342
Loss for the year	-	-	-	-	(3,421,360)	(3,421,360)
Other comprehensive income for the year	-	-	-	<u>124,283</u>	-	<u>124,283</u>
Total comprehensive Income	-	-	-	124,283	(3,421,360)	(3,297,077)
Proceeds from Rights Issue	497,675	398,140	-	-	-	895,815
Rights Issue Expenses	-	(117,098)	-	-	-	(117,098)
Transfer to accumulated losses	-	-	(15,479)	-	15,479	-
Dividends paid(note 25)	-	-	-	-	<u>(79,627)</u>	<u>(79,627)</u>
At 30 June 2015	<u>1,824,808</u>	<u>1,371,057</u>	<u>872,154</u>	<u>(34,259)</u>	<u>(3,294,405)</u>	<u>739,355</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2015

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2013	<u>1,327,133</u>	<u>1,090,015</u>	<u>689,816</u>	<u>(763,609)</u>	<u>2,343,355</u>
Profit for the year	-	-	-	111,098	111,098
Other comprehensive income for the year	-	-	208,659	-	208,659
Total comprehensive Income	-	-	208,659	111,098	319,757
Transfer to accumulated losses	-	-	(10,842)	10,842	-
Dividends paid(note 27)	-	-	-	(79,627)	(79,627)
At 30 June 2014	<u>1,327,133</u>	<u>1,090,015</u>	<u>887,633</u>	<u>(721,296)</u>	<u>2,583,485</u>
At 1 July 2014	1,327,133	1,090,015	887,633	(701,324)	2,603,457
Adjustment on correction of error (net of tax)	-	-	-	(19,972)	(19,972)
At 1 July 2014 (Restated*)	1,327,133	1,090,015	887,633	(721,296)	2,583,485
Loss for the year	-	-	-	(3,930,610)	(3,930,610)
Total comprehensive Income	-	-	-	-	-
Proceeds from Rights Issue	497,675	398,140	-	-	895,815
Rights issue Expenses	-	(117,098)	-	-	(117,098)
Transfer to accumulated losses	-	-	(15,479)	15,479	-
Dividends paid(note 25)	-	-	-	(79,627)	(79,627)
At 30 June 2015	<u>1,824,808</u>	<u>1,371,057</u>	<u>872,154</u>	<u>(4,716,054)</u>	<u>(648,035)</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss)/Profit before income tax		(3,513,064)	432,777
Adjustments for:			
Depreciation of property and equipment	3 (a)	304,065	330,657
Change in fair value of investment properties	4	(100,000)	(720,000)
Amortisation of prepaid operating lease rentals	6	269	269
Amortisation of intangible assets	5	8,618	9,342
Finance expense	24	335,854	64,640
Interest income	21	(5,538)	-
Operating cash flows before working capital changes		(2,969,796)	117,685
Decrease/(Increase) in trade and other receivables		65,324	(39,157)
Decrease in amounts due to related parties		-	(16,054)
Decrease/(Increase) in inventories		410,211	(144,815)
Increase in trade and other payables		1,292,085	726,786
Increase in deferred revenue		3,756	11,569
Net cash flows (used in) / generated from operations		(1,198,421)	656,015
Interest received	21	5,538	-
Tax paid	8.1	(9,280)	(8,808)
Net cash (used in) / generated from operating activities		(1,202,163)	647,207
INVESTING ACTIVITIES			
Purchase of property and equipment	3 (a)	(193,176)	(465,513)
Purchase of intangible assets	5	(3,993)	-
Net cash used in investing activities		(197,169)	(465,513)
FINANCING ACTIVITIES			
Finance cost	24	(335,854)	(64,640)
Proceeds from sale and lease back		1,097,661	-
Repayment of lease obligation		(148,985)	-
Proceeds from rights Issue		895,815	-
Rights issue expenses		(117,098)	-
Payment of dividends	27	(79,627)	(79,627)
Proceeds from borrowings		-	600,000
Repayment of borrowings		(549,185)	(165,093)
Net cash generated from financing activities		762,727	290,640
NET (DECREASE)/ INCREASE IN CASH AND CASH EQUIVALENTS		(636,605)	472,334
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		149,571	(288,569)
Effects of exchange rate changes		182,405	(34,194)
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	12	<u>(304,629)</u>	<u>149,571</u>

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2015

		2015	2014
	Note	KShs'000	Restated* KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss)/ profit before income tax		(4,157,156)	179,559
Adjustments for:			
Depreciation of property and equipment	3 (b)	229,270	212,965
Impairment of investment in subsidiary		204,929	-
Amortisation of prepaid operating lease rentals	4	269	269
Finance expense	24	173,545	64,640
Amortisation of intangible assets	5	8,444	8,954
Operating (loss)/profit before working capital changes		(3,540,699)	466,387
Decrease/(Increase) in trade and other receivables		64,238	(55,827)
Decrease/(Increase) in due from related parties balances		1,072,409	(455,464)
Decrease/(Increase) in inventories		339,268	(140,930)
Increase in trade and other payables		1,204,857	721,869
Increase in deferred revenue		4,273	9,594
Cash outflows from operations		(855,654)	545,629
Tax paid	8.1	(9,280)	(8,808)
Net cash used in operating activities		(864,934)	536,821
INVESTING ACTIVITIES			
Purchase of property and equipment	3(b)	(80,791)	(373,891)
Purchase of intangible assets		(3,993)	-
Net cash used in investing activities		(84,784)	(373,891)
FINANCING ACTIVITIES			
Finance cost	24	(173,545)	(64,640)
Proceeds from sale and lease back		608,640	-
Repayment of lease obligation		(68,506)	-
Payment of dividend	27	(79,627)	(79,627)
Proceeds from rights Issue		895,815	-
Rights issue expenses		(117,098)	-
(Repayments)/receipt of long term borrowings		(549,185)	434,908
Net cash generated from financing activities		516,494	290,641
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS			
		(433,224)	453,571
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		219,919	(233,652)
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	12	(213,305)	219,919

* Certain amounts shown here do not correspond to the 2014 financial statements and reflect adjustments made. Refer to Note 36

1. GENERAL INFORMATION

Uchumi Supermarkets Limited is incorporated in Kenya under the Kenyan Companies Act. The company operates retail supermarkets in Kenya, Uganda and Tanzania.

The company's shares resumed trading at the Nairobi Securities Exchange from 31 May 2011 after being approved by the Capital Markets Authority. The shares had been suspended from trading at the Nairobi Securities Exchange from 2 June 2006 when the company was placed under receivership. The receivership was, however, uplifted by the debenture holders on 4 March 2010.

2. ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied, unless otherwise stated.

a) Basis of preparation

The financial statements have been prepared on the historical cost basis, except for land and buildings and investment properties, which have been measured at fair value, as disclosed in the accounting policies hereafter. The financial statements are presented in Kenya Shillings (KShs.) and all values are rounded to the nearest thousand (KShs'000) except where otherwise indicated. Unless stated otherwise, references to the company include the group.

b) Statement of compliance

The consolidated and separate financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs).

c) Consolidation of financial statements

The consolidated financial statements comprise the financial statements of the Group and its subsidiaries as at 30 June 2015. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

2. ACCOUNTING POLICIES (Continued)

c) Consolidation of financial statements (Continued)

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary
- Derecognises the carrying amount of any non-controlling interests
- Derecognises the cumulative translation differences recorded in equity
- Recognises the fair value of the consideration received
- Recognises the fair value of any investment retained
- Recognises any surplus or deficit in profit or loss
- Reclassifies the parent's share of components previously recognised in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities

d) Significant accounting judgements, estimates and assumptions

The preparation of the Group's consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Other disclosures relating to the Group's exposure to risks and uncertainties includes:

- ▶ Capital management Note 30
- ▶ Financial risk management and policies Note 31
- ▶ Sensitivity analyses disclosures Notes 30

Judgements

In the process of applying the Group's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements:

Operating lease commitments – Group as lessor

The Group has entered into commercial property leases on its investment property portfolio. The Group has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the commercial property and the fair value of the asset, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

Estimates and assumptions

The future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

2. ACCOUNTING POLICIES (Continued)

d) Significant accounting judgements, estimates and assumptions (continued)

Revaluation of property, plant and equipment and investment properties

The Group carries its investment properties at fair value, with changes in fair value being recognised in the statement of profit or loss. The Group engaged an independent valuation specialist to assess fair value as at 30 June 2015 for investment properties, and land and buildings. For investment properties, a valuation methodology based on a discounted cash flow (DCF) model was used, as there is a lack of comparable market data because of the nature of the properties. In addition, it measures land and buildings at revalued amounts with changes in fair value being recognised in OCI. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a DCF model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

e) New accounting standards, amendments and interpretations

The accounting policies adopted are consistent with those followed in the preparation of the Group's annual financial statements for the year ended 30 June 2014, except for new standards, amendments and interpretations effective 1 January 2015. The nature and impact of each new standard/ amendment are described below:

The Group only considered those that are relevant to its operations.

IAS 32 Offsetting Financial Assets and Financial Liabilities – Amendments to IAS 32

Effective for annual periods beginning on or after 1 January 2014.

Key requirements

The amendments to IAS 32 *Financial Instruments: Presentation* clarify the meaning of "currently has a legally enforceable right to set-off". The amendments also clarify the application of the IAS 32 offsetting criteria to settlement systems (such as central clearing house systems), which apply gross settlement mechanisms that are not simultaneous. The amendments clarify that rights of set-off must not only be legally enforceable in the normal course of business, but must also be enforceable in the event of default and the event of bankruptcy or insolvency of all of the counterparties to the contract, including the reporting entity itself. The amendments also clarify that rights of set-off must not be contingent on a future event. The amendments clarify that only gross settlement mechanisms with features that eliminate or result in insignificant credit and liquidity risk and that process receivables and payables in a single settlement process or cycle would be, in effect, equivalent to net settlement and, therefore, meet the net settlement criterion.

Transition

The amendments must be applied retrospectively.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

IAS 32 Offsetting Financial Assets and Financial Liabilities – Amendments to IAS 32 (Continued)

Impact

Entities will need to review legal documentation and settlement procedures, including those applied by the central clearing houses they deal with to ensure that offsetting of financial instruments is still possible under the new criteria. Changes in offsetting may have a significant impact on financial statement presentation. The effect on leverage ratios, regulatory capital requirements, etc., will need to be considered.

IAS 36 Recoverable Amount Disclosures for Non-Financial Assets -Amendments to IAS 36

Effective for annual periods beginning on or after 1 January 2014.

Key requirements

The amendments to IAS 36 *Impairment of Assets* clarify the disclosure requirements in respect of fair value less costs of disposal. The amendments remove the requirement to disclose the recoverable amount for each cash-generating unit for which the carrying amount of goodwill or intangible assets with indefinite useful lives allocated to that unit is significant. In addition, the IASB added two disclosure requirements:

- Additional information about the fair value measurement of impaired assets when the recoverable amount is based on fair value less costs of disposal.
- Information about the discount rates that have been used when the recoverable amount is based on fair value less costs of disposal using a present value technique. The amendments harmonise disclosure requirements between value in use and fair value less costs of disposal.

Transition

The amendments must be applied retrospectively.

Impact

As a result of the amendments, entities are no longer required to disclose information that was regarded as commercially sensitive by preparers. Nevertheless, additional information needs to be provided. In general, it is likely that the information required to be disclosed will be readily available.

Contributions – Amendments to IAS 19

Effective for annual periods beginning on or after 1 July 2014.

Key requirements

IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. IAS 19 requires such contributions that are linked to service to be attributed to periods of service as a negative benefit.

The amendments clarify that, if the amount of the contributions is independent of the number of years of service, an entity is permitted to recognise such contributions as a reduction in the service cost in the period in which the service is rendered, instead of allocating the contributions to the periods of service. Examples of such contributions include those that are a fixed percentage of the employee's salary, a fixed amount of contributions throughout the service period, or contributions that depend on the employee's age.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

Contributions – Amendments to IAS 19 (continued)

Transition

The amendments must be applied retrospectively.

Impact

These changes provide a practical expedient for simplifying the accounting for contributions from employees or third parties in certain situations.

Improvements to International Financial Reporting Standards

Key requirements

The IASB's annual improvements process deals with non-urgent, but necessary, clarifications and amendments to IFRS.

2010-2012 Cycle (issued in December 2013)

In the 2010-2012 annual improvements cycle, the IASB issued seven amendments to six standards, summaries of which are provided below. Other than amendments that only affect the standards' Basis for Conclusions, the changes are effective 1 July 2014. Earlier application is permitted and must be disclosed.

The Group has applied these amendments for the first time in these financial statements. The adoption of these improvements did not have a material impact on the Groups accounting policies, financial position and performance.

IFRS 2 Share-based Payment

Definitions of vesting conditions

The amendment defines 'performance condition' and 'service condition' to clarify various issues, including the following:

- A performance condition must contain a service condition
- A performance target must be met while the counterparty is rendering service
- A performance target may relate to the operations or activities of an entity, or to those of another entity in the same group
- A performance condition may be a market or non-market condition
- If the counterparty, regardless of the reason, ceases to provide service during the vesting period, the service condition is not satisfied

The amendment must be applied prospectively.

IFRS 3 Business Combinations

Accounting for contingent consideration in a business combination

The amendment clarifies that all contingent consideration arrangements classified as liabilities or assets arising from a business combination must be subsequently measured at fair value through profit or loss whether or not they fall within the scope of IFRS 9 (or IAS 39, as applicable). The amendment must be applied prospectively.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

Improvements to International Financial Reporting Standards (continued)

IFRS 8 Operating Segments

Aggregation of operating segments

The amendment clarifies that an entity must disclose the judgements made by management in applying the aggregation criteria in IFRS 8.12, including a brief description of operating segments that have been aggregated and the economic characteristics (e.g., sales and gross margins) used to assess whether the segments are similar. The amendment must be applied retrospectively.

Reconciliation of the total of the reportable segments' assets to the entity's assets

The amendment clarifies that the reconciliation of segment assets to total assets is required to be disclosed only if the reconciliation is reported to the chief operating decision maker, similar to the required disclosure for segment liabilities. The amendment must be applied retrospectively.

IAS16 Property, Plant and Equipment and IAS 38 Intangible Assets

Revaluation method - proportionate restatement of accumulated depreciation/amortisation

The amendments to IAS 16 and IAS 38 clarify that the revaluation can be performed, as follows:

- Adjust the gross carrying amount of the asset to market value; or
- Determine the market value of the carrying amount and adjust the gross carrying amount proportionately so that the resulting carrying amount equals the market value

The amendments also clarify that accumulated depreciation/amortisation is the difference between the gross and carrying amounts of the asset. The amendments must be applied retrospectively.

IAS 24 Related Party Disclosures

Key management personnel

The amendment clarifies that a management entity - an entity that provides key management personnel services - is a related party subject to the related party disclosures. In addition, an entity that uses a management entity is required to disclose the expenses incurred for management services. The amendment must be applied retrospectively.

2011-2013 Cycle (issued in December 2013)

In the 2011-2013 annual improvements cycle, the IASB issued four amendments to four standards, summaries of which are provided below. Other than amendments that only affect the standards' Basis for Conclusions, the changes are effective 1 July 2014 and are not expected to have a material impact on the Group. Earlier application is permitted and must be disclosed.

IFRS 3 Business Combinations

Scope exceptions for joint ventures

The amendment clarifies that:

- Joint arrangements, not just joint ventures, are outside the scope of IFRS 3.
- The scope exception applies only to the accounting in the financial statements of the joint arrangement itself.

The amendment must be applied prospectively.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

Improvements to International Financial Reporting Standards (continued)

IFRS 13 Fair Value Measurement

Scope of paragraph 52 (portfolio exception)

The amendment clarifies that the portfolio exception in IFRS 13 can be applied not only to financial assets and financial liabilities, but also to other contracts within the scope of IFRS 9 (or IAS 39, as applicable). The amendment must be applied prospectively.

IAS 40 Investment Property

Interrelationship between IFRS 3 and IAS 40 (ancillary services)

The description of ancillary services in IAS 40 differentiates between investment property and owner-occupied property (i.e., property, plant and equipment). The amendment clarifies that IFRS 3, not the description of ancillary services in IAS 40, is used to determine if the transaction is the purchase of an asset or business combination. The amendment must be applied prospectively.

Standards issued but not yet effective

The standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's financial statements are disclosed below. The Group intends to adopt these standards, if applicable, when they become effective.

IAS 1 Disclosure Initiative – Amendments to IAS 1

Effective for annual periods beginning on or after 1 January 2016.

Key requirements

The amendments to IAS 1 *Presentation of Financial Statements* clarify, rather than significantly change, existing IAS 1 requirements.

The amendments clarify;

- The materiality requirements in IAS 1
- That specific line items in the statement(s) of profit or loss and OCI and the statement of financial position may be disaggregated
- That entities have flexibility as to the order in which they present the notes to financial statements
- That the share of OCI of associates and joint ventures accounted for using the equity method must be presented in aggregate as a single line item, and classified between those items that will or will not be subsequently reclassified to profit or loss

Furthermore, the amendments clarify the requirements that apply when additional subtotals are presented in the statement of financial position and the statement(s) of profit or loss and other comprehensive income.

Transition

Early application is permitted and entities do not need to disclose that fact because the Board considers these amendments to be clarifications that do not affect an entity's accounting policies or accounting estimates.

2. ACCOUNTING POLICIES (Continued)

- e) New accounting standards, amendments and interpretations (continued)

IAS 1 Disclosure Initiative - Amendments to IAS 1 (continued)

Impact

These amendments are intended to assist entities in applying judgement when meeting the presentation and disclosure requirements in IFRS, and do not affect recognition and measurement. The amendments affect presentation only and have no impact on the Group's financial position or performance.

IAS 16 and IAS 38 Clarification of Acceptable Methods of Depreciation and Amortisation - Amendments to IAS 16 and IAS 38

Effective for annual periods beginning on or after 1 January 2016.

Key requirements

The amendments clarify the principle in IAS 16 *Property, Plant and Equipment* and IAS 38 *Intangible Assets* that revenue reflects a pattern of economic benefits that are generated from operating a business (of which the asset is part) rather than the economic benefits that are consumed through use of the asset. As a result, the ratio of revenue generated to total revenue expected to be generated cannot be used to depreciate property, plant and equipment and may only be used in very limited circumstances to amortise intangible assets.

Transition

The amendments are effective prospectively. Early application is permitted and must be disclosed.

IAS 16 and IAS 38 Clarification of Acceptable Methods of Depreciation and Amortisation - Amendments to IAS 16 and IAS 38 (continued)

Impact

Entities currently using revenue-based amortisation methods for property, plant and equipment will need to change their current amortisation approach to an acceptable method, such as the diminishing balance method, which would recognise increased amortisation in the early part of the asset's useful life. Revenue generated may be used to amortise an intangible asset only in very limited circumstances. These amendments are not expected to have any impact to the Group given that it has not used a revenue-based method to depreciate its non-current assets.

IFRS 15 Revenue from Contracts with Customers

Effective for annual periods beginning on or after 1 January 2018.

Key requirements

IFRS 15 replaces all existing revenue requirements in IFRS (IAS 11 *Construction Contracts*, IAS 18 *Revenue*, IFRIC 13 *Customer Loyalty Programmes*, IFRIC 15 *Agreements for the Construction of Real Estate*, IFRIC 18 *Transfers of Assets from Customers* and SIC 31 *Revenue - Barter Transactions Involving Advertising Services*) and applies to all revenue arising from contracts with customers. It also provides a model for the recognition and measurement of disposal of certain non-financial assets including property, equipment and intangible assets. The standard outlines the principles an entity must apply to measure and recognise revenue.

The core principle is that an entity will recognise revenue at an amount that reflects the consideration to which the entity expects to be entitled in exchange for transferring goods or services to a customer.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

IFRS 15 Revenue from Contracts with Customers (continued)

The principles in IFRS 15 will be applied using a five-step model:

1. Identify the contract(s) with a customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when (or as) the entity satisfies a performance obligation

The standard requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers.

The standard also specifies how to account for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

Application guidance is provided in IFRS 15 to assist entities in applying its requirements to certain common arrangements, including licences of intellectual property, warranties, rights of return, principal-versus-agent considerations, options for additional goods or services and breakage.

Transition

Entities can choose to apply the standard using either a full retrospective approach with some limited relief provided, or a modified retrospective approach. Early application is permitted and must be disclosed.

Impact

IFRS 15 is more prescriptive than current IFRS and provides more application guidance. The disclosure requirements are also more extensive. The standard will affect entities across all industries. Adoption will be a significant undertaking for most entities with potential changes to an entity's current accounting, systems and processes. Therefore, it is important for entities to start assessing the impact early. In addition, as the IASB and FASB (together, the Boards) and the Joint Transition Resource Group for Revenue Recognition (TRG) continue to discuss implementation issues, it will be important for entities to monitor their discussions. The Group is currently assessing the impact of IFRS 15 and plans to adopt the new standard on the required effective date.

IFRS 9 Financial Instruments

Effective for annual periods beginning on or after 1 January 2018.

Key requirements

Classification and measurement of financial assets

All financial assets are measured at fair value on initial recognition, adjusted for transaction costs if the instrument is not accounted for at fair value through profit or loss (FVTPL). Debt instruments are subsequently measured at FVTPL, amortised cost or fair value through other comprehensive income (FVOCI), on the basis of their contractual cash flows and the business model under which the debt instruments are held. There is a fair value option (FVO) that allows financial assets on initial recognition to be designated as FVTPL if that eliminates or significantly reduces an accounting mismatch. Equity instruments are generally measured at FVTPL. However, entities have an irrevocable option on an instrument-by-instrument basis to present changes in the fair value of non-trading instruments in other comprehensive income (OCI) (without subsequent reclassification to profit or loss).

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

IFRS 9 Financial Instruments (continued)

Classification and measurement of financial liabilities

For financial liabilities designated as FVTPL using the FVO, the amount of change in the fair value of such financial liabilities that is attributable to changes in credit risk must be presented in OCI. The remainder of the change in fair value is presented in profit or loss, unless presentation of the fair value change in respect of the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss.

All other IAS 39 *Financial Instruments: Recognition and Measurement* classification and measurement requirements for financial liabilities have been carried forward into IFRS 9, including the embedded derivative separation rules and the criteria for using the FVO.

Impairment

The impairment requirements are based on an expected credit loss (ECL) model that replaces the IAS 39 incurred loss model. The ECL model applies to: debt instruments accounted for at amortised cost or at FVOCI; most loan commitments; financial guarantee contracts; contract assets under IFRS 15; and lease receivables under IAS 17 *Leases*. Entities are generally required to recognise either 12-months' or lifetime ECL, depending on whether there has been a significant increase in credit risk since initial recognition (or when the commitment or guarantee was entered into). For some trade receivables, the simplified approach may be applied whereby the lifetime expected credit losses are always recognised.

Hedge accounting

Hedge effectiveness testing is prospective, without the 80% to 125% bright line test in IAS 39, and, depending on the hedge complexity, can be qualitative.

A risk component of a financial or non-financial instrument may be designated as the hedged item if the risk component is separately identifiable and reliably measureable. The time value of an option, any forward element of a forward contract and any foreign currency basis spread, can be excluded from the designation as the hedging instrument and accounted for as costs of hedging. More designations of groups of items as the hedged item are possible, including layer designations and some net positions.

Transition

Early application is permitted for reporting periods beginning after 24 July 2014. The transition to IFRS 9 differs by requirements and is partly retrospective and partly prospective. Despite the requirement to apply IFRS 9 in its entirety, entities may elect to apply early only the requirements for the presentation of gains and losses on financial liabilities designated as FVTPL without applying the other requirements in the standard.

Impact

The application of IFRS 9 may change the measurement and presentation of many financial instruments, depending on their contractual cash flows and business model under which they are held. The impairment requirements will generally result in earlier recognition of credit losses. The new hedging model may lead to more economic hedging strategies meeting the requirements for hedge accounting. The Group is currently assessing the impact that this standard will have on the financial position and performance.

2. ACCOUNTING POLICIES (Continued)

- e) New accounting standards, amendments and interpretations (continued)

IFRS 11 Accounting for Acquisitions of Interests in Joint Operations – Amendments to IFRS 11

Effective for annual periods beginning on or after 1 January 2016.

Key requirements

The amendments require an entity acquiring an interest in a joint operation in which the activity of the joint operation constitutes a business to apply, to the extent of its share, all of the principles in IFRS 3, and other IFRSs, that do not conflict with the requirements of IFRS 11. Furthermore, entities are required to disclose the information required in those IFRSs in relation to business combinations. The amendments also apply to an entity on the formation of a joint operation if, and only if, an existing business is contributed by the entity to the joint operation on its formation. Furthermore, the amendments clarify that for the acquisition of an additional interest in a joint operation in which the activity of the joint operation constitutes a business, previously held interests in the joint operation must not be remeasured if the joint operator retains joint control.

Transition

The amendments are applied prospectively. Early application is permitted and must be disclosed.

Impact

The amendments to IFRS 11 increase the scope of transactions that would need to be assessed to determine whether they represent the acquisition of a business or an asset, which would be highly judgemental. Entities need to consider the definition carefully and select the appropriate accounting method based on the specific facts and circumstances of the transaction. The Group is currently assessing the impact of these amendments and plans to adopt them on the required effective date.

Improvements to International Financial Reporting Standards

2012-2014 Cycle (issued in September 2014)

In the 2012-2014 annual improvements cycle, the IASB issued five amendments to four standards, summaries of which are provided below. The changes are effective 1 January 2016, and are not expected to have a material impact on the Group. Earlier application is permitted and must be disclosed.

IFRS 5 Non-Current Assets Held for Sale and Discontinued Operations

Changes in methods of disposal

Assets (or disposal groups) are generally disposed of either through sale or distribution to owners. The amendment clarifies that changing from one of these disposal methods to the other would not be considered a new plan of disposal, rather it is a continuation of the original plan. There is, therefore, no interruption of the application of the requirements in IFRS 5. The amendment must be applied prospectively.

2. ACCOUNTING POLICIES (Continued)

e) New accounting standards, amendments and interpretations (continued)

IFRS 7 Financial Instruments: Disclosures

Servicing contracts

The amendment clarifies that a servicing contract that includes a fee can constitute continuing involvement in a financial asset. An entity must assess the nature of the fee and the arrangement against the guidance for continuing involvement in IFRS 7.B30 and IFRS 7.42C in order to assess whether the disclosures are required. The assessment of which servicing contracts constitute continuing involvement must be done retrospectively. However, the required disclosures would not need to be provided for any period beginning before the annual period in which the entity first applies the amendments.

Applicability of the offsetting disclosures to condensed interim financial statements

The amendment clarifies that the offsetting disclosure requirements do not apply to the financial statements, unless such disclosures provide a significant update to the information reported in the most recent annual report. The amendment must be applied retrospectively.

IAS 19 Employee Benefits

Discount rate: regional market issue

The amendment clarifies that market depth of high quality corporate bonds is assessed based on the currency in which the obligation is denominated, rather than the country where the obligation is located. When there is no deep market for high quality corporate bonds in that currency, government bond rates must be used. The amendment must be applied prospectively.

f) Revenue recognition

Revenue from the sales of goods is recognised in the period in which the group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivable is reasonably assured.

Revenue from the rendering of services is recognised in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

g) Customer loyalty programme

The group estimates the fair value of points earned under the loyalty points programme by applying statistical techniques. Inputs to the models include making assumptions about expected redemption rates. As points issued under the programme do not expire, such estimates are subject to significant uncertainty.

Award credits are accounted for as a separate identifiable component of sales. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and other components of the sale.

Revenue is recognised as the risk expires which is based on the number of points that have been redeemed relative to the total number expected to be redeemed.

2. ACCOUNTING POLICIES (Continued)

h) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

Provision for obsolescence is done on the basis of the period an item is projected to take to clear from the shelves for the two main categories of inventory being food and non-food items as follows;

Food items

Between 3 and 6 months	50%
Between 6 and 9 months	75%
Over 9 months	100%

Nonfood items

Between 9 and 18 months	50%
Between 18 and 24 months	75%
Over 24 months	100%

i) Property and equipment

Property and equipment are stated at cost, net of accumulated depreciation and/or accumulated impairment losses, if any. Such cost includes the cost of replacing part of the property and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of property and equipment are required to be replaced at intervals, the group recognises such parts as individual assets with specific useful lives and depreciation, respectively. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred. The present value of the expected cost for the decommissioning of the asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised after the date of the revaluation. Valuations are performed every two years to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is recognized in other comprehensive income and accumulated in the asset revaluation reserve in equity, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the profit or loss, in which case the increase is recognised in profit or loss. A revaluation deficit is recognised in profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the assets and depreciation based on the assets original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
 NOTES TO THE FINANCIAL STATEMENTS (Continued)
 FOR THE YEAR ENDED 30 JUNE 2015

2. ACCOUNTING POLICIES (Continued)

i) Property and equipment (continued)

Depreciation is calculated on a straight-line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful lives as follows:

Buildings on freehold land	over a period of 45 years
Buildings on leasehold land	Shorter of estimated useful life or the lease term
Improvements to premises	10 years
Plant and machinery	5 years
Equipment and motor vehicles	6.67 years, 5 years and 4 years (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

An item of property and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss when the asset is derecognised.

The assets' residual values, useful lives and methods of depreciation are reviewed at each financial year end and adjusted prospectively, if appropriate.

Property and equipment are periodically reviewed for impairment. If any such indication exists and where the carrying amounts exceed the estimated recoverable amount, the assets are written down to their recoverable amount. Impairment losses are recognised in the profit or loss. The recoverable amount is the greater of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

j) Foreign currencies

The consolidated financial statements are presented in Kenya Shillings, which is the group's functional and presentation currency. Each entity in the group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

Monetary assets and liabilities in foreign currencies have been translated at rates approximating the mean rates of exchange ruling at the reporting date. Transactions during the period are converted at the rates ruling at the dates of the transactions. Gains and losses on conversion and translation are either included in profit or loss or, where appropriate, recharged to the relevant third party.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

As at the reporting date, the assets and liabilities of foreign subsidiaries are translated into Kenya Shillings at the rate of exchange ruling at the reporting date, and their income statements are translated at the weighted average exchange rates for the period. Exchange differences arising on translation are recognised in other comprehensive income and accumulated in equity in the translation reserve. On disposal of a foreign entity, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised through other comprehensive income into profit or loss.

2. ACCOUNTING POLICIES (Continued)

k) Financial instruments

Financial assets and liabilities are recognised when the group becomes a party to contractual provisions of the instrument.

Financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through profit or loss, directly attributable transaction costs.

Financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and other payables, directly attributable transaction costs.

The subsequent measurement of financial assets and liabilities depends on their classification as follows:

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, loans and receivables are carried at amortised cost using the effective interest method less any allowance for impairment. Short-term receivables with no stated interest rate are measured at the original invoice amount if the effect of discounting is immaterial.

Impairment of financial assets

The group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

In relation to trade receivables, a provision for impairment is made when there is objective evidence (such as the probability of insolvency or significant financial difficulties of the debtor) that the group will not be able to collect all of the amounts due under the original terms of the invoice. The carrying amount of the receivable is reduced through use of an allowance account. The loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial assets original effective interest rate. Impaired debts are derecognised when they are assessed as uncollectible.

Interest-bearing loans and borrowings

All loans and borrowings are initially recognised at cost, being the fair value of the consideration received net of issue costs associated with the borrowing.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any issue costs and any discount or premium on settlement.

2. ACCOUNTING POLICIES (Continued)

k) Financial instruments (continued)

Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank and in hand and short-term deposits with an original maturity of three months or less.

Cash and cash equivalents that have a fixed maturity date (less than 3 months) are subsequently measured at cost, as these are highly liquid and readily convertible.

Cash and cash equivalents are subsequently measured at amortised cost using the effective interest rate method.

For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts. Bank overdrafts are disclosed separately under current liabilities.

Trade payables

Trade and other payables are carried at amortised cost using the effective interest rate method. Trade payables being short term in nature are carried at cost as the effect of imputing interest is considered to be insignificant.

Derecognition of financial assets

i) *Financial assets*

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- the rights to receive cash flows from the asset have expired; or
- the group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the group has transferred substantially all the risks and rewards of the asset, or (b) the group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, a new asset is recognised to the extent of the group's continuing involvement in the asset.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including a cash settled option or similar provision) on the transferred asset, the extent of the group's continuing involvement is the amount of the transferred asset that the group may repurchase, except that in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

2. ACCOUNTING POLICIES (Continued)

k) Financial instruments (Continued)

Derecognition of financial assets (continued)

i) *Financial assets (continued)*

When an entity continues to recognise an asset to the extent of its continuing involvement, the entity also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the entity has retained. The associated liability is measured in such a way that the net carrying amount of the transferred asset and the associated liability is:

- (a) the amortised cost of the rights and obligations retained by the entity, if the transferred asset is measured at amortised cost; or
- (b) equal to the fair value of the rights and obligations retained by the entity when measured on a stand-alone basis, if the transferred asset is measured at fair value.

ii) *Financial liabilities*

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the income statement.

Offsetting

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a currently legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

l) Tax

Current corporate tax

Current corporate tax is provided on the basis of the results for the year as shown in the income statement, adjusted in accordance with the tax legislations and at the tax rate that has been enacted or substantively enacted at the reporting date in the countries where the group operates and generates taxable income. Corporate tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authority.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss.

Deferred income tax

Deferred income tax is provided using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

2. ACCOUNTING POLICIES (Continued)

I) Tax (continued)

Deferred tax liabilities are recognised for all taxable temporary differences, except:

When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the profit nor taxable profit or loss.

In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized utilised, except:

When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss

In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred income tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted at the reporting date and are expected to apply when the asset is realised or the liability is settled.

Deferred tax

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Deferred tax assets are recognised for revaluation surplus to the extent that it is probable that taxable profit will be available on disposal. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

2. ACCOUNTING POLICIES (Continued)

l) Tax (continued)

As at 30 June 2015, the company had accumulated tax losses available for future relief amounting to KShs 1,485,935,540 (2014: KShs 423,384,901). Under the Kenyan legislation, effective 1 January 2010 tax losses were to be allowed against future income from the same specific source with a five year time limit which ended on 31 December 2014, and therefore the brought forward tax losses amounting to KShs 423,384,901 have expired. The company has since made an application for an extension on this period as per the provisions of the Finance Act. However, in 2015, the Finance Act was amended and a ten year time limit was introduced effective 1 January 2016 inclusive of the year incurred. In line with the ten year carry forward policy, the company can carry forward the tax losses that arose during the year ended 30.06.15 (amounting to KShs 1,062,550,649) up to the year 2025. Further details on taxes are disclosed in Note 8.

Value added tax

Revenues, expenses and assets are recognised net of the amount of value added tax except where the value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and receivables and payables that are stated with the amount of value added tax included. The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of other receivables or payables in the statement of financial position.

m) Employee benefit costs

Retirement benefit plans:

i) Kenya

The company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month. In addition the company operates a provident fund scheme, where employees contribute 5% of their basic salaries and the employer contributes 7 %.

ii) Uganda

The employee contributes 5% while the Company contributes 10%

iii) Tanzania

Both Employee and Company contribute 10%

The company's contributions to the above scheme are charged to the profit or loss in the year to which they relate.

Employee entitlements:

The monetary benefits for employees' accrued annual leave entitlement at the reporting date are recognised as an expense accrual.

n) Impairment of non-financial assets

The group assesses at each reporting date whether there is an indication that an asset may be impaired. If such indication exists, the group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of its fair value less costs of disposal and its value in use. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

2. ACCOUNTING POLICIES (Continued)

n) Impairment of non-financial assets (continued)

Impairment losses are recognised in profit or loss, except for a property previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the group estimates the asset's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

o) Borrowing costs

Borrowing costs consist of interest and other costs that the group incurs in connection with the borrowing of funds. Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur.

p) Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at inception date, whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a lessee

Finance leases are capitalised at the commencement of the lease at the inception date fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognised in finance costs in the statement of profit or loss.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Prepaid operating lease rentals are recognised as assets and are subsequently amortised over the lease period. Operating lease payments are recognised as an operating expense in profit or loss on a straight-line basis over the lease term.

q) Intangible assets

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised using the straight-line method over a period of three years.

2. ACCOUNTING POLICIES (Continued)

q) Intangible assets (continued)

Costs associated with developing or maintaining computer software programs are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the group and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over a period of three years. Amortisation begins when the asset is available for use. Amortisation ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is derecognized. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the income statement when the asset is derecognized

r) Cost of sales

Cost of sales includes the historical costs of inventory expensed during the year including inventory losses.

s) Investments in subsidiaries

Investments in subsidiaries are carried in the company's separate statement of financial position at cost less provisions for impairment losses. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

t) Segmental reporting

The group presents segmental information using geographical segments format. This is based on the internal financial reporting systems and reflects the risks and earnings structure of the group.

The group operations are carried out in Kenya, Uganda and Tanzania.

u) Investment properties

Investment properties are measured initially at cost, including transaction costs, and excluding the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the profit or loss in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use.

2. ACCOUNTING POLICIES (Continued)

v) Current versus non-current classification

The Group presents assets and liabilities in statement of financial position based on current/non-current classification. An asset is current when it is:

- Expected to be realised or intended to sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period

Or

- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period

Or

- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current. Deferred tax assets and liabilities are classified as non-current assets and liabilities

w) Provisions

General provision

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle

the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is

recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit or loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Restructuring provisions

Restructuring provisions are recognised only when the Group has a constructive obligation, which is when a detailed formal plan identifies the business or part of the business concerned, the location and number of employees affected, a detailed estimate of the associated costs, and an appropriate timeline, and the employees affected have been notified of the plan's main features.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

3. (a) PROPERTY AND EQUIPMENT (GROUP)

<i>At 30 June 2015:</i>	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Machinery KShs'000	Vehicles and Equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2014	1,500,000	388,197	897,058	1,186,213	3,971,468
Disposal of asset reinstated	-	<u>25,511</u>	<u>163,229</u>	<u>258,239</u>	<u>446,979</u>
At 1 July 2014 *Restated	1,500,000	413,708	1,060,287	1,444,452	4,418,447
Additions	-	24,789	59,531	108,856	193,176
Exchange differences	-	<u>(5,632)</u>	<u>(40,708)</u>	<u>(32,380)</u>	<u>(78,720)</u>
At 30 June 2015	<u>1,500,000</u>	<u>432,865</u>	<u>1,079,110</u>	<u>1,520,928</u>	<u>4,532,903</u>
Comprising:					
Cost	6,882	432,865	1,079,110	1,520,928	3,039,785
Valuation	<u>1,493,118</u>	-	-	-	<u>1,493,118</u>
	<u>1,500,000</u>	<u>432,865</u>	<u>1,079,110</u>	<u>1,520,928</u>	<u>4,532,903</u>
DEPRECIATION					
At 1 July 2014	-	300,730	505,853	762,215	1,568,798
Disposal of asset reinstated	-	<u>2,944</u>	<u>39,953</u>	<u>73,651</u>	<u>116,548</u>
At 1 July 2014 *Restated	-	303,674	545,806	835,866	1,685,346
Charge for the year	26,077	11,663	102,636	163,689	304,065
Exchange differences	-	<u>(3,073)</u>	<u>(11,313)</u>	<u>(6,662)</u>	<u>(21,048)</u>
At 30 June 2015	<u>26,077</u>	<u>312,264</u>	<u>637,129</u>	<u>992,893</u>	<u>1,968,363</u>
NET CARRYING AMOUNT					
At 30 June 2015	<u>1,473,923</u>	<u>120,601</u>	<u>441,981</u>	<u>528,035</u>	<u>2,564,540</u>
Categorized as follows:					
Non-current	1,473,923	102,855	241,476	337,703	2,155,957
Current*	-	<u>17,746</u>	<u>200,505</u>	<u>190,332</u>	<u>408,583</u>
	<u>1,473,923</u>	<u>120,601</u>	<u>441,981</u>	<u>528,035</u>	<u>2,564,540</u>

*As explained on note 36, subsequent to the year ended 30 June 2015, the Board of Uchumi Supermarkets Limited resolved to cease the operations of the company's subsidiaries in Uganda and Tanzania. Therefore, property and equipment in the subsidiaries have been classified as current assets.

In the opinion of the directors, there was no impairment of items in property and equipment.

Buildings and freehold land were last valued in July 2013 by Kiragu & Mwangi Limited, independent professional valuers. Valuations were made on the basis of open market value. The freehold land is subject to a first charge as disclosed in note 15.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

3. (a) PROPERTY AND EQUIPMENT (continued)
(GROUP)

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Machinery KShs'000	Vehicles and Equipment KShs'000	Total KShs'000
<i>At 30 June 2014:</i>					
COST OR VALUATION					
At 1 July 2013	1,268,215	361,882	939,978	1,121,672	3,691,747
Revaluation recognized in OCI	298,084	-	-	-	298,084
*Transfer	(66,299)	-	-	-	(66,299)
Additions	-	28,067	195,596	222,962	446,625
Exchange Difference	-	23,759	(75,287)	99,818	48,290
At 30 June 2014	<u>1,500,000</u>	<u>413,708</u>	<u>1,060,287</u>	<u>1,444,452</u>	<u>4,418,447</u>
Comprising:					
Cost	6,882	413,708	1,060,287	1,444,452	2,925,329
Valuation	<u>1,493,118</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>1,493,118</u>
	<u>1,500,000</u>	<u>413,708</u>	<u>1,060,287</u>	<u>1,444,452</u>	<u>4,418,447</u>
DEPRECIATION					
At 1 July 2013	45,869	282,377	437,413	670,646	1,436,305
*Transfer	(66,299)	-	-	-	(66,299)
Charge for the year	20,430	19,134	116,768	174,325	330,657
Exchange Difference	-	2,172	(8,384)	(9,105)	(15,317)
At 30 June 2014	<u>-</u>	<u>303,683</u>	<u>545,797</u>	<u>835,866</u>	<u>1,685,346</u>
NET CARRYING AMOUNT					
At 30 June 2014	<u>1,500,000</u>	<u>110,025</u>	<u>514,490</u>	<u>608,586</u>	<u>2,733,101</u>

In the opinion of the directors, there was no impairment of items in property and equipment.

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

Buildings and freehold land were valued in July 2013 by Kiragu & Mwangi Limited, independent professional valuers. Valuations were made on the basis of open market value. The opening carrying amounts of the properties were adjusted to the revalued amounts and the resultant surplus, net of deferred tax, was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

3. (b) PROPERTY AND EQUIPMENT (continued)
(COMPANY)

<i>At 30 JUNE 2015:</i>	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
At 1 July 2014	1,500,000	332,441	489,709	843,528	3,165,678
Disposal of asset reinstated	-	25,511	163,229	258,239	446,979
At 1 July 2014 *Restated	1,500,000	357,952	652,938	1,101,767	3,612,657
Additions	-	22,320	13,954	44,517	80,791
At 30 JUNE 2015	1,500,000	380,272	666,892	1,146,284	3,693,448
Comprising:					
Cost	6,882	380,272	666,892	1,146,284	2,200,330
Valuation	1,493,118	-	-	-	1,493,118
	1,500,000	380,272	666,892	1,146,284	3,693,448
DEPRECIATION	-	266,694	356,853	684,674	
At 1 July 2014	-	263,750	316,900	611,023	1,191,673
Disposal of asset reinstated	-	2,944	39,953	73,651	116,548
At 1 July 2014 *Restated	-	266,694	356,853	684,674	1,308,221
Charge for the year	26,077	10,723	68,563	123,907	229,270
At 30 JUNE 2015	26,077	277,417	425,416	808,581	1,537,491
NET CARRYING AMOUNT					
At 30 JUNE 2015	1,473,923	102,855	241,476	337,703	2,155,957

In the opinion of the directors, there was no impairment of items in property and equipment.

Buildings and freehold land were last valued in July 2013 by Kiragu & Mwangi Limited, independent professional valuers. Valuations were made on the basis of open market value.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

3. (b) PROPERTY AND EQUIPMENT (continued)
(COMPANY)

	Buildings and freehold land KShs' 000	Improvements to premises KShs' 000	Machinery KShs' 000	Vehicles and Equipment KShs' 000	Total KShs' 000
<i>At 30 JUNE 2014:</i>					
At 1 July 2013	1,268,215	327,550	483,888	927,328	3,006,981
Revaluation recognized in OCI	298,084	-	-	-	298,084
*Transfer	(66,299)	-	-	-	(66,299)
Additions	-	<u>30,402</u>	<u>169,050</u>	<u>174,439</u>	<u>373,891</u>
At 30 JUNE 2014	<u>1,500,000</u>	<u>357,952</u>	<u>652,938</u>	<u>1,101,767</u>	<u>3,612,657</u>
Comprising:					
Cost	6,882	357,952	652,938	1,101,767	2,119,539
Valuation	<u>1,493,118</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>1,493,118</u>
	<u>1,500,000</u>	<u>357,952</u>	<u>652,938</u>	<u>1,101,767</u>	<u>3,612,657</u>
DEPRECIATION					
At 1 July 2013	45,869	246,732	299,276	569,669	1,161,546
Transfer	(66,299)	-	-	-	(66,299)
Charge for the year	<u>20,430</u>	<u>19,962</u>	<u>57,577</u>	<u>115,005</u>	<u>212,974</u>
At 30 JUNE 2014	<u>-</u>	<u>266,694</u>	<u>356,853</u>	<u>684,674</u>	<u>1,308,221</u>
NET CARRYING AMOUNT					
At 30 JUNE 2014	<u>1,500,000</u>	<u>91,258</u>	<u>296,085</u>	<u>417,093</u>	<u>2,304,436</u>

In the opinion of the directors, there was no impairment of items in property and equipment.

*This transfer relates to the accumulated depreciation as at the revaluation date that was eliminated against the gross carrying amount of the revalued asset.

Buildings and freehold land were valued in July 2013 by Kiragu & Mwangi Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus, net of deferred tax, was credited to revaluation surplus in equity.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

4. INVESTMENT PROPERTIES	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
Balance brought forward	2,200,000	1,480,000	-	-
Change in fair value during the year	<u>100,000</u>	<u>720,000</u>	<u>-</u>	<u>-</u>
At 30 June	<u>2,300,000</u>	<u>2,200,000</u>	<u>-</u>	<u>-</u>

Investment properties relate to two pieces of land held by the company's subsidiary, Kasarani Mall Limited, under long-term lease arrangements with the Government of Kenya with Kasarani Mall Limited as the lessee. The land was valued at KShs.2.3 billion by Kiragu & Mwangi Limited, accredited independent valuers, as at 30 June 2015. The present value of the ground rent obligations is immaterial and thus, the valuation amount of KShs.2.3 billion (2014: KShs. 2.2 billion) is equivalent to the fair values of these properties.

5. INTANGIBLE ASSETS	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
COST				
Balance brought forward	72,284	72,089	70,412	70,412
Additions	3,993	-	3,993	-
Exchange difference	<u>(170)</u>	<u>195</u>	<u>-</u>	<u>-</u>
At 30 June	<u>76,107</u>	<u>72,284</u>	<u>74,405</u>	<u>70,412</u>
AMORTISATION				
Balance brought forward	59,738	50,382	58,134	49,180
Amortisation for the year	8,618	9,342	8,444	8,954
Exchange difference	<u>(266)</u>	<u>14</u>	<u>-</u>	<u>-</u>
At 30 June	<u>68,090</u>	<u>59,738</u>	<u>66,578</u>	<u>58,134</u>
NET CARRYING AMOUNT				
At 30 June	<u>8,017</u>	<u>12,546</u>	<u>7,827</u>	<u>12,278</u>
Categorised as follows:				
*Current	190	-	-	-
Non-current	<u>7,827</u>	<u>12,546</u>	<u>7,827</u>	<u>12,278</u>
	<u>8,017</u>	<u>12,546</u>	<u>7,827</u>	<u>12,278</u>

Intangible assets relate to the computer software acquisition costs.

*As explained on note 36, subsequent to the year ended 30 June 2015, the Board of Uchumi Supermarkets Limited resolved to cease the operations of the company's subsidiaries in Uganda and Tanzania. Therefore, intangible assets in the subsidiaries have been classified as current assets.

6. PREPAID OPERATING LEASE RENTALS	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
Balance brought forward	19,201	19,470	19,201	19,470
Amortisation for the year	<u>(269)</u>	<u>(269)</u>	<u>(269)</u>	<u>(269)</u>
At 30 June	<u>18,932</u>	<u>19,201</u>	<u>18,932</u>	<u>19,201</u>

Prepaid operating leases relate to one piece of land held by the company under a long term lease arrangement, with the Government of Kenya where the company is a lessee. The remaining lease period is 79 years. The leasehold land is subject to a first charge as disclosed in note 15.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

7. INVESTMENTS IN SUBSIDIARIES	Country of incorporation	Shareholding	Company	
			2015 KShs'000	2014 KShs'000
Uchumi Supermarkets (Uganda) Limited	Uganda	100%	204,929	204,929
Less: Impairment (Note 20)			(204,929)	-
Uchumi Supermarkets (Tanzania) Limited	Tanzania	100%	-	-
Uchumi Holdings Limited	Kenya	100%	-	-
Kasarani Mall Limited	Kenya	100%	<u>200</u>	<u>200</u>
			<u>200</u>	<u>205,129</u>

The principal activity of Uchumi Supermarkets (Uganda) Limited and Uchumi Supermarkets (Tanzania) Limited is the operation of retail supermarkets. The principal activity of Kasarani Mall Limited is property management.

The results of the subsidiaries have been consolidated in these financial statements. The wholly owned subsidiary, Uchumi Holdings Limited, incorporated in Kenya has two issued shares of nominal amount and is dormant. The investment in Uchumi Supermarkets (Tanzania) Limited is below KShs.1,000

Following the directors' decision after year end to close the operations in Uganda & Tanzania to help stabilize the Kenyan operation as detailed under note 36 the investment in Uganda and Tanzania has been impaired.

8. TAXATION	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
8.1 STATEMENT OF FINANCIAL POSITION				
INCOME TAX RECOVERABLE/(PAYABLE)				
Balance brought forward	3,747	(673)	(1,191)	(1,899)
Tax charge for the year	(28,724)	(8,100)	(4,632)	(8,100)
Tax paid during the year	9,280	8,808	9,280	8,808
Exchange difference	<u>(545)</u>	<u>3,712</u>	<u>-</u>	<u>-</u>
At 30 June	<u>(16,242)</u>	<u>3,747</u>	<u>3,457</u>	<u>(1,191)</u>
Tax recoverable	3,457	4,938	3,457	-
Tax payable	<u>(19,699)</u>	<u>(1,191)</u>	<u>-</u>	<u>(1,191)</u>
	<u>(16,242)</u>	<u>3,747</u>	<u>3,457</u>	<u>(1,191)</u>

DEFERRED TAX ASSET

Movements in deferred tax during the year were as follows;

Group	Income Statement		Equity	
At 30 JUNE 2015	2014 KShs'000	2015 KShs'000	2014 KShs'000	2015 KShs'000
Deferred tax asset is attributable to the following items:				
Tax losses carried forward	126,999	191,765	-	318,764
Excess of depreciation over tax allowances	74,633	8,873	-	83,506
Provision for bad debts	7,409	477	-	7,886
Provision for leave	7,238	591	-	7,829
Provision for obsolete stocks	7,734	6,877	-	14,611
Other temporary differences	3,714	22,595	-	26,309
Revaluation reserve	<u>(305,912)</u>	<u>(110,750)</u>	<u>-</u>	<u>(416,662)</u>
	<u>(78,185)</u>	<u>120,428</u>	<u>-</u>	<u>42,243</u>

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

8 TAXATION (Continued)

8.1 STATEMENT OF FINANCIAL POSITION (Continued)

DEFERRED TAX ASSET (Continued)

Group

<i>At 30 June 2014</i>	2013	Income statement	Equity	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Deferred tax liability is attributable to the following items:				
Tax losses carried forward	214,916	(87,917)	-	126,999
Excess of depreciation over tax allowances	50,690	23,943	-	74,633
Provision for bad debts	7,409	-	-	7,409
Provision for leave	4,555	2,683	-	7,238
Provision for obsolete stocks	7,323	411	-	7,734
Other temporary differences	3,193	521	-	3,714
Revaluation reserve	<u>(216,487)</u>	<u>-</u>	<u>(89,425)</u>	<u>(305,912)</u>
	<u>71,599</u>	<u>(60,359)</u>	<u>(89,425)</u>	<u>(78,185)</u>

Company

At 30 JUNE 2015

Deferred tax asset is attributable to the following items

Tax losses carried forward	126,999	191,765	-	318,764
Excess of depreciation over tax allowances	74,633	8,873	-	83,506
Provision for bad debts	7,409	477	-	7,886
Provision for leave	7,238	591	-	7,829
Provision for obsolete stocks	7,734	6,877	-	14,611
Other temporary differences	3,714	22,595	-	26,309
Revaluation reserve	<u>(305,912)</u>	<u>-</u>	<u>-</u>	<u>(305,912)</u>
	<u>(78,185)</u>	<u>231,178</u>	<u>-</u>	<u>152,993</u>

Company

At 30 June 2014

Deferred tax liability is attributable to the following items

Tax losses carried forward	214,916	(87,917)	-	126,999
Excess of depreciation over tax allowances	50,690	23,943	-	74,633
Provision for bad debts	7,409	-	-	7,409
Provision for leave	4,555	2,683	-	7,238
Provision for obsolete stocks	7,323	411	-	7,734
Other temporary differences	3,193	521	-	3,714
Revaluation reserve	<u>(216,487)</u>	<u>-</u>	<u>(89,425)</u>	<u>(305,912)</u>
	<u>71,599</u>	<u>(60,359)</u>	<u>(89,425)</u>	<u>(78,185)</u>

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

8	TAXATION (Continued)	Group		Company	
		2015	2014	2015	2014
		KShs'000	KShs'000	KShs'000	KShs'000
8.2	INCOME STATEMENT				
	Deferred tax (charge)/Credit	120,428	(60,361)	231,178	(60,361)
	Corporation tax	<u>(28,724)</u>	<u>(8,100)</u>	<u>(4,632)</u>	<u>(8,100)</u>
		<u>91,704</u>	<u>(68,461)</u>	<u>226,546</u>	<u>(68,461)</u>
	Accounting profit before tax	<u>(3,513,064)</u>	<u>432,777</u>	<u>(4,157,156)</u>	<u>179,559</u>
	Tax calculated at tax rate of 30%	(1,053,919)	129,833	(1,247,147)	53,868
	Tax effect of items not deducted for tax	<u>1,145,623</u>	<u>(198,294)</u>	<u>1,473,693</u>	<u>(122,329)</u>
		<u>91,704</u>	<u>(68,461)</u>	<u>226,546</u>	<u>(68,461)</u>
9	INVENTORIES				
	Food	395,333	523,748	279,536	428,092
	Non-food	580,354	806,782	486,483	650,354
	Other	<u>30,644</u>	<u>40,599</u>	<u>29,906</u>	<u>34,340</u>
		1,006,331	1,371,129	795,925	1,112,786
	Stock provision	<u>(83,324)</u>	<u>(37,911)</u>	<u>(48,186)</u>	<u>(25,779)</u>
		<u>923,007</u>	<u>1,333,218</u>	<u>747,739</u>	<u>1,087,007</u>

The stock provision amount was recognized as an expense for inventories carried at Net realisable value. This is recognised in cost of sales. There were no stocks written off during the year.

Other inventory relate to packaging materials and empties and crates.

10	TRADE AND OTHER RECEIVABLES	Group		Company	
		2015	2014	2015	2014
		KShs'000	KShs'000	KShs'000	KShs'000
	Trade receivables	60,833	58,987	54,273	55,358
	Prepayments and other receivables	<u>246,541</u>	<u>313,711</u>	<u>214,651</u>	<u>277,804</u>
		<u>307,374</u>	<u>372,698</u>	<u>268,924</u>	<u>333,162</u>
	Aging analysis of trade receivables:				
	Neither past due nor impaired	39,939	40,124	25,303	38,553
	Past due but not impaired: 30 to 60 days	15,748	15,821	25,559	14,929
	Impaired: Over 60 days	<u>31,546</u>	<u>31,692</u>	<u>26,520</u>	<u>26,574</u>
		87,233	87,637	77,382	80,056
	Allowance for credit losses	<u>(26,400)</u>	<u>(28,650)</u>	<u>(23,109)</u>	<u>(24,698)</u>
		<u>60,833</u>	<u>58,987</u>	<u>54,273</u>	<u>55,358</u>

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

10. TRADE AND OTHER RECEIVABLES (Continued)

	Group		Company	
	2015	2,014	2,015	2,014
	KShs'000	KShs'000	KShs'000	KShs'000
Movement in allowance for credit losses:				
At 1 July	28,650	28,898	24,698	24,698
Unused amounts reversed	<u>(2,250)</u>	<u>(248)</u>	<u>(1,589)</u>	<u>-</u>
At 30 June	<u>26,400</u>	<u>28,650</u>	<u>23,109</u>	<u>24,698</u>

The above trade receivables have no collateral, are non - interest bearing and are generally on 30-60 days term. All trade receivables above 60 days are deemed past due and are assessed as impaired. There were no trade receivables written off during the year.

Neither past due nor impaired

The group classifies trade receivables under this category for receivables that are up to date with their payments and conforming to all the agreed terms and conditions. Such customers are financially sound and demonstrate capacity to continue to service their debts in the future.

11. RELATED PARTY TRANSACTIONS AND BALANCES

Note 7 above provides details about the company's subsidiaries. The company is related to various other entities through common shareholding and /or directorships. The following balances relating to transactions entered into with related parties arising from sale and purchase of goods/ services were outstanding at year end:

	Company	
	2015	2014
	KShs'000	KShs'000
i) Amounts due from related parties:		
Uchumi Supermarkets (Uganda) Limited	939,429	614,032
Less: Impairment (Note 22)	<u>(939,429)</u>	<u>-</u>
Uchumi Supermarkets (Tanzania) Limited	555,024	458,457
Less: Impairment (Note 22)	<u>(555,024)</u>	<u>-</u>
Kasarani Mall Limited	<u>133,103</u>	<u>133,023</u>
	<u>133,103</u>	<u>1,205,512</u>

The balance due from Uchumi Supermarkets (Uganda) Limited and Uchumi Supermarkets (Tanzania) Limited relates to expenses paid by the parent on behalf of the subsidiaries and working capital requirements disbursed to the subsidiaries. The balance due from Kasarani Mall Limited relates to purchase and maintenance costs of the investment property.

For the year ended 30 June 2015, the group did record impairment of receivables relating to amounts owed by related parties of Kshs 1.7 billion (2014: Kshs. Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
ii) Amounts due to related parties:				
*Industrial and Commercial Development Corporation (ICDC)	<u>116,032</u>	<u>-</u>	<u>116,032</u>	<u>-</u>
Interest paid on related party loan	<u>28,678</u>	<u>-</u>	<u>28,678</u>	<u>-</u>

Terms and conditions of transactions with related parties

Industrial and Commercial Development Corporation owns 2% of the shares in Uchumi Supermarket Limited.

The interest on the loan from ICDC is at the base rate (currently 16%). The ICDC loan is to be repaid on a quarterly basis over a period of three years without a moratorium period.

*The amount is classified as loan (see Note15)

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

11. RELATED PARTY TRANSACTIONS AND BALANCES (Continued)

iii) Senior management compensation:	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Short term employee benefits	111,987	82,062	111,987	75,396
Post-employment benefits	<u>7,790</u>	<u>10,286</u>	<u>7,790</u>	<u>10,220</u>
	<u>119,777</u>	<u>92,348</u>	<u>119,777</u>	<u>85,616</u>

12. CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise the following at 30 June:

	Group		Company	
	2015	2014	2015	2014
	KShs'000	Restated KShs'000	KShs'000	Restated KShs'000
Bank and cash balances	134,676	243,145	121,945	219,919
Short term deposits	-	-	-	-
Bank overdraft	<u>(439,305)</u>	<u>(93,574)</u>	<u>(335,250)</u>	<u>-</u>
	<u>(304,629)</u>	<u>149,571</u>	<u>(213,305)</u>	<u>219,919</u>

13. SHARE CAPITAL

	2015	2014
	KShs'000	KShs'000
Authorised:		
500,000,000 (2014: 500,000,000) ordinary shares of KShs.5 each	2,500,000	2,500,000
25,000,000 Redeemable preference shares of KShs.20 each	<u>500,000</u>	<u>500,000</u>
	<u>3,000,000</u>	<u>3,000,000</u>

Redeemable preference shares

At 30 June 2015 and 2014, there were 25,000,000 authorized but not issued redeemable preference shares. Each share has a par value of KShs 20.

Issued and fully paid:

364,961,594 (2014: 265,426,614) ordinary shares of Shs.5 each	<u>1,824,808</u>	<u>1,327,133</u>
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The company undertook a rights issue in December 2014 whereby 99,534,980 new shares with a par value of KShs 5 per share were issued at a price of KShs 9 per share.

14. RESERVES

	Group		Company	
	2015	2014	2015	2014
	KShs'000	Restated KShs'000	KShs'000	Restated KShs'000
Retained earnings/(Accumulated losses)	(3,294,405)	191,103	(4,716,054)	(721,296)
Share premium	1,371,057	1,090,015	1,371,057	1,090,015
Revaluation reserve	872,154	887,633	872,154	887,633
Translation reserve	<u>(34,258)</u>	<u>(158,542)</u>	<u>-</u>	<u>-</u>
	<u>(1,085,453)</u>	<u>2,010,209</u>	<u>(2,472,843)</u>	<u>1,256,352</u>

The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

The translation reserve arises from translation of the net investment in foreign subsidiaries, Uchumi Supermarkets (Uganda) Limited and Uchumi Supermarkets (Tanzania) Limited, to Kenya Shillings.

UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

15. LOANS	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Borrowings are made up as follows:				
a) Non-current Term loan	-	99,185	-	99,185
b) Current Bank overdraft	439,305	730,574	335,250	637,000
Term loan	266,032	716,032	266,032	716,032
	705,337	1,446,606	601,282	1,353,032
	705,337	1,545,791	601,282	1,452,217
Maturity profile of non-current borrowings				
Between 1 and 2 years	-	99,185	-	99,185
Between 2 and 5 years	-	-	-	-
	-	99,185	-	99,185
Term Loan				
<i>Non-current</i>				
Industrial and Commercial Development Corporation	-	99,185	-	99,185
<i>Current</i>				
Kenya Commercial Bank	150,000	600,000	150,000	600,000
Industrial and Commercial Development Corporation	116,032	116,032	116,032	116,032
	266,032	716,032	266,032	716,032

In addition to the bank overdraft from Kenya Commercial Bank, the company acquired a loan of KShs.600 million in 2014 at the rate of 18% to be repaid in the next one year.

The Company has an existing loan from Industrial and Commercial Development Corporation (ICDC) at the base rate (currently 16%). The ICDC loan is to be repaid on a quarterly basis over a period of three years without a moratorium period.

The Kenya Commercial Bank Loan and overdraft is secured by a first charge on freehold property Land Reference Number 209/399/3 while the ICDC loan is secured by a first charge on leasehold property Land Reference number 209/12593.

The weighted average effective interest rate at year-end was:

	2015	2014
Term loan	15.5%	18%
Bank overdrafts	18%	15.5%

16. OBLIGATIONS UNDER FINANCE LEASES

The group has commercial leases on property plant and machinery. These leases have an average life of over four years. There are no restrictions placed on the group by entering into these leases. Future minimum payments under the finance leases together with the present value of the net minimum lease payments are as follows:

<i>Group</i>	2015	Present value	2014	Present value
	Minimum payments	of lease payments	Minimum payments	of lease payments
	KShs'000	KShs'000	KShs'000	KShs'000
Within one year	856,728	565,732	-	-
After one year but not more than five years	<u>449,855</u>	<u>382,944</u>	-	-
Total minimum lease payments	1,306,583	<u>948,676</u>	-	-
Less amounts representing finance charges	<u>(357,906)</u>	-	-	-
Total obligations under finance lease	<u>948,676</u>	-	-	-
<i>Company</i>				
Within one year	263,587	157,190	-	-
After one year but not more than five years	<u>449,855</u>	<u>382,944</u>	-	-
Total minimum lease payments	<u>713,442</u>	<u>540,134</u>	-	-
Less amounts representing finance charges	<u>(173,308)</u>	-	-	-
Total obligations under finance lease	<u>540,134</u>	-	-	-

The interest rate applicable to the above leases is variable and was an average 18.16% over the period, which is the rate used by the lessor to determine the periodic lease payments. The carrying value of property and equipment held under finance leases contract at 30 June 2015 was Kshs 948,676,000.

17. TRADE AND OTHER PAYABLES

	Group		Company	
	2015	2014 Restated	2015	2014 Restated
	KShs'000	KShs'000	KShs'000	KShs'000
Trade payables	3,447,485	2,325,577	2,810,033	1,724,653
Accrued expenses	144,851	188,628	70,752	134,893
Other payables	<u>266,982</u>	<u>53,028</u>	<u>221,735</u>	<u>38,117</u>
	<u>3,859,318</u>	<u>2,567,233</u>	<u>3,102,520</u>	<u>1,897,663</u>

Trade payables and other payables are non-interest bearing and are normally settled within 60 days.

Included in other payables are accruals for liabilities expected to arise out of cessation of operations of the subsidiaries in Uganda and Tanzania.

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	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
18. DEFERRED REVENUE				
At 1 July	26,105	12,264	10,903	1,309
Deferred during the year	69,880	106,121	69,880	89,736
Released to the income statement	(65,607)	(92,843)	(65,607)	(80,142)
Exchange difference	<u>(517)</u>	<u>563</u>	<u>-</u>	<u>-</u>
At 30 June	<u>29,861</u>	<u>26,105</u>	<u>15,176</u>	<u>10,903</u>

Deferred revenue represents fair value of the consideration received from customer's loyalty points (note 2(g)).

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
19. SALES				
Food	8,219,327	9,160,492	7,587,153	8,073,679
Personal care	2,580,074	2,875,509	2,318,396	2,484,209
General merchandise	1,667,122	1,858,019	1,351,279	1,409,525
Textiles	<u>422,451</u>	<u>470,824</u>	<u>132,876</u>	<u>453,631</u>
	<u>12,888,974</u>	<u>14,364,844</u>	<u>11,389,704</u>	<u>12,421,044</u>

20. COST OF SALES

Food	7,030,928	7,568,343	6,437,904	6,590,219
Personal care	2,163,363	2,328,721	1,954,774	2,027,759
General merchandise	1,298,017	1,397,232	1,098,751	1,216,656
Textiles	<u>324,505</u>	<u>349,308</u>	<u>101,137</u>	<u>304,165</u>
	<u>10,816,813</u>	<u>11,643,604</u>	<u>9,592,566</u>	<u>10,138,799</u>

	Group		Company	
	2015	2014	2015	2014
	KShs'000	Restated KShs'000	KShs'000	Restated KShs'000
21. OTHER INCOME				
Promotions income	91,676	129,527	89,707	120,923
Specialty shop income	202,954	184,691	171,588	160,384
Miscellaneous income	150,442	267,613	137,857	245,552
Interest receivable	<u>5,538</u>	<u>-</u>	<u>5,538</u>	<u>-</u>
	<u>450,610</u>	<u>581,831</u>	<u>404,690</u>	<u>526,859</u>

Miscellaneous income includes receipts from rental and financial services offered

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22. ADMINISTRATION AND ESTABLISHMENT EXPENSES

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Staff costs (Note 28)	1,756,215	1,398,257	1,374,120	1,107,544
Establishment costs	738,019	407,292	497,682	293,756
Rent	794,234	682,582	512,973	414,669
Computer expenses	33,019	33,947	21,808	30,879
Motor running expenses	35,075	34,847	34,556	34,370
Auditors' remuneration	16,080	19,500	12,000	12,258
Consultancy fees	47,240	46,214	31,138	28,377
Credit card commission	42,776	46,534	42,622	46,231
Bank charges and commission	65,527	58,965	52,715	24,895
Amortisation of intangible assets	8,618	9,342	8,444	8,954
Amortisation of operating lease rentals	269	269	269	269
Depreciation of property and equipment	304,065	330,657	229,270	212,965
Impairment of other receivables	408,978	-	198,818	-
General expenses**	<u>418,325</u>	<u>430,270</u>	<u>367,352</u>	<u>311,917</u>
	<u>4,668,440</u>	<u>3,498,676</u>	<u>3,383,767</u>	<u>2,527,084</u>
Provisions and write offs*	1,049,037	-	1,049,037	-
Impairment of Subsidiaries (Note 7 and 11)	-	-	<u>1,699,381</u>	-
	<u>5,717,477</u>	<u>3,498,676</u>	<u>6,132,185</u>	<u>2,527,084</u>

*Balances written off mainly relate to a write off of unreconciled differences between the accounts payables general ledger and the sub ledger. The write off relates to items arising from management misrepresentation and manipulation of the system by the previous management.

** General expenses relate to expenses incurred in the day to day operations of the business such as cost of packaging materials, telephone, printing and stationery expenses, laundry and generator fuel costs.

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
23. SELLING AND DISTRIBUTION				
Marketing expenses	<u>148,111</u>	<u>119,821</u>	<u>118,861</u>	<u>117,963</u>
24. FINANCE COSTS				
Interest on lease Obligation	92,615	-	78,183	-
Interest on loans and overdraft	<u>243,239</u>	<u>64,640</u>	<u>95,362</u>	<u>64,640</u>
Total	<u>335,854</u>	<u>64,640</u>	<u>173,545</u>	<u>64,640</u>
25. PROFIT BEFORE TAX				
	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
The profit before tax is stated after charging:-				
Depreciation on property and equipment	304,065	330,657	229,270	212,965
Amortisation of intangible assets	8,618	9,342	8,444	8,954
Amortisation of operating lease rentals	269	269	269	269
Auditors' remuneration	16,080	26,497	12,000	12,258
Directors' emoluments:				
- As executives	26,450	26,450	36,261	26,450
- As directors	<u>3,329</u>	<u>3,329</u>	<u>5,331</u>	<u>3,329</u>
And after crediting:				
Gain on disposal of property and equipment	-	<u>19,972</u>	-	<u>19,972</u>

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26. EARNINGS PER SHARE

The earnings per share are calculated on the profit after tax and on the number of ordinary shares in issue during the year. There are no instruments that have a dilutive effect on earnings.

	Group 2015 KShs'000	2014 KShs'000	Company 2015 KShs'000	2014 KShs'000
(Loss)/Profit for the year	<u>(3,421,360)</u>	<u>364,316</u>	<u>(3,930,610)</u>	<u>111,098</u>
Number of ordinary shares	<u>364,962</u>	<u>265,427</u>	<u>364,962</u>	<u>265,427</u>
(Loss)/Profit per share - KShs.	<u>(10.85)</u>	<u>1.37</u>	<u>(10.77)</u>	<u>0.42</u>

27. DIVIDENDS

Proposed for approval at the annual general meeting (not recognised as a liability as at 30 June).

	Group 2015 KShs'000	2014 KShs'000
Dividend for the year Kshs Nil (2014: KShs.0.30)	<u>-</u>	<u>79,62</u>
Dividends paid	<u>-</u>	<u>79,62</u>

28. EMPLOYEE BENEFITS

	Group 2015 KShs'000	2014 KShs'000	Company 2015 KShs'000	2014 KShs'000
Salaries	1,320,530	670,371	745,802	536,599
Medical	65,396	48,085	53,851	38,837
Pension	55,029	45,403	54,334	44,395
Other	<u>315,260</u>	<u>634,398</u>	<u>520,133</u>	<u>487,713</u>
	<u>1,756,215</u>	<u>1,398,257</u>	<u>1,374,120</u>	<u>1,107,544</u>

29. SEGMENT INFORMATION

For management purposes, the Group is organised into business units based on its geographical reportable segments, as follows:

	Kenya KShs '000	Uganda KShs '000	Tanzania KShs '000	Adjusted on consolidation KShs '000	Group KShs '000
<i>Year ended 30 June</i>					
2015:					
Sales	<u>11,389,704</u>	<u>677,306</u>	<u>821,964</u>	<u>-</u>	<u>12,888,974</u>
(Loss)/profit before tax	<u>(4,157,156)</u>	<u>452,906</u>	<u>91,187</u>	<u>-</u>	<u>(3,613,063)</u>
Current assets	1,275,168	120,022	106,427	(133,103)	1,368,514
Non-current assets	<u>4,525,159</u>	<u>257,660</u>	<u>151,113</u>	<u>(200)</u>	<u>4,933,732</u>
Total segment assets	<u>5,800,327</u>	<u>377,682</u>	<u>257,540</u>	<u>(133,303)</u>	<u>6,302,246</u>
Current liabilities	4,009,471	731,716	572,063	(133,303)	5,179,947
Non-current liabilities	<u>382,944</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>382,944</u>
Total segment liabilities	<u>4,392,415</u>	<u>731,716</u>	<u>572,063</u>	<u>(133,303)</u>	<u>5,562,891</u>

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29. SEGMENT INFORMATION (continued)

	Kenya KShs '000	Uganda KShs '000	Tanzania KShs '000	Adjusted on consolidation KShs '000	Group KShs '000
<i>Year ended 30 June</i>					
<i>2014:</i>					
Sales	<u>12,421,044</u>	<u>1,250,924</u>	<u>692,876</u>	<u>-</u>	<u>14,364,844</u>
Profit/(loss) before tax	<u>179,559</u>	<u>(341,595)</u>	<u>(125,187)</u>	<u>-</u>	<u>452,749</u>
Current assets	2,845,600	223,190	90,721	(1,205,512)	1,953,999
Non-current assets	<u>4,741,044</u>	<u>313,471</u>	<u>115,462</u>	<u>(205,129)</u>	<u>4,964,848</u>
Total segment assets	7,586,644	536,661	206,183	(1,410,641)	6,918,847
Current liabilities	2,758,834	1,188,863	661,950	(1,205,512)	3,404,135
Non-current liabilities	<u>177,370</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>177,370</u>
Total segment liabilities	<u>2,936,204</u>	<u>1,188,863</u>	<u>661,950</u>	<u>(1,205,512)</u>	<u>3,581,505</u>

Sales revenue is based on the country in which the sales took place. Total assets are shown by the geographical area in which the assets are located. All the geographical segments are involved in the operation of retail supermarkets.

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude investments and amounts due from subsidiaries.

Segment liabilities consist of operating liabilities and exclude items such as dividends payable and amounts due to the parent company.

It is not possible to obtain information on revenues from external customers for each product and service, or each group of similar products and services, because the necessary information is not available and the cost to develop it would be excessive.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates risk, liquidity risk and interest rates risk. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the Risk and Compliance Committee.

The group maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the group does not speculate or trade in derivative financial instruments.

Interest rate risk

Interest rate risk is the risk that the future profitability and/or cash flows of financial instruments will fluctuate because of changes in the market interest rates.

The group's exposure to the risk of changes in market interest rates relates primarily to the group's long and short term obligations with floating interest rates.

Interest margin may increase as a result of changes in the prevailing levels of base rates applied by ICDC and based on lending covenants entered into with the company. The balances outstanding as at 30 June 2015 are disclosed under note 15.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Interest rate risk (continued)

The sensitivity analysis below has been determined based on the exposure to interest rates for non-derivative instruments at year end. The analysis was prepared using the following assumptions:

- Interest-bearing liabilities outstanding as at 30 June 2015 were outstanding at those levels for the whole year,
- All other variables are held constant.

If interest rates on bank overdraft had been 3 percent higher or lower, the group's net profit for the year ended 30 June 2015 and equity as at 30 June 2015 would increase or decrease by KShs.21 million (2014-KShs. 12million)

If interest rates on bank overdraft had been 3 percent higher or lower, the company's net loss for the year ended 30 June 2015 would increase or decrease by KShs 19 million (2014-KShs.9 million)

All other borrowings besides bank overdrafts are subject to fixed rates. In light of this, the directors are of the opinion that any sensitivity analysis with respect to the interest rate risk would be unrepresentative.

Foreign currency exchange risk

The group's policy is to record transactions in foreign currencies at the rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the rate of exchange in effect at the reporting date. All gains or losses on changes in currency exchange rates are accounted for in profit or loss. The group operates wholly within Kenya, Uganda and Tanzania and its assets and liabilities are mainly denominated in local currencies.

The carrying amounts of the group's foreign currency denominated monetary assets and liabilities at the reporting date are as follows:

	Uganda shillings KShs'000	Tanzania shillings KShs'000
30 June 2015		
Assets		
Bank and cash balances	2,023	10,708
Trade receivables and other receivables	<u>154,227</u>	<u>83,031</u>
	<u>156,250</u>	<u>93,739</u>
Liabilities		
Borrowings	20,667	83,388
Trade and other payables	<u>444,183</u>	<u>312,600</u>
	<u>464,850</u>	<u>395,988</u>
30 June 2014		
Assets		
Bank and cash balances	20,205	3,021
Trade receivables and other receivables	<u>43,309</u>	<u>-</u>
	<u>63,514</u>	<u>3,021</u>
Liabilities		
Borrowings	-	93,574
Trade and other payables	<u>574,972</u>	<u>94,655</u>
	<u>574,972</u>	<u>188,229</u>

Appreciation/depreciation of Kenya shilling against other currency by 10%. A 10 percentage point increase or decrease represents management's assessment of the reasonably possible change in foreign exchange rates. The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the reporting date with all other variables held constant.

30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

	30 June 2015 KShs'000		30 June 2014 KShs'000	
	Effect on profit	Effect on equity	Effect on profit	Effect on equity
Currency - Uganda shillings				
+ 5% KShs movement	43,252	30,276	51,144	35,802
5% KShs movement	(43,252)	(30,276)	(51,144)	(35,802)
Currency - Tanzania shillings				
+ 5% KShs movement	37,914	26,540	18,520	12,964
5% KShs movement	(37,914)	(26,540)	(18,520)	(12,964)

Credit risk

The largest concentration of credit exposure within the group relates to cash held with banks and accounts receivable. The group has policies in place to ensure that services are provided to customers with an appropriate credit history. In addition, the group only deals with financial institutions which have a strong credit rating. The directors have the responsibility of managing the group's credit risk.

The amount that best represents the group and company's maximum exposure to credit risk as at 30 June is made up as follows:

	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
Bank balance	134,676	243,145	121,945	219,919
Trade receivables	60,833	58,987	54,273	55,385
Amounts due from related parties	-	-	-	1,205,512
	<u>195,509</u>	<u>302,132</u>	<u>176,218</u>	<u>1,480,816</u>

Liquidity risk

Liquidity risk concerns the ability of the group to fulfil its financial obligations as they become due. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The group maintains a portfolio of short-term liquid assets, largely made up of bank balances and short term deposits to ensure that sufficient liquidity is maintained within the group as a whole. The group also arranges for short-term borrowings to ensure that the group's financial obligations are met.

The group's non derivative financial liabilities mainly comprise trade and other payables which are short term in nature with maturities of between 30 and 60 days.

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30. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Liquidity risk analysis

Group

At 30 JUNE 2015	Less than 1 year KShs'000	Between 1 and 2 years KShs'000	Between 2 and 5 years KShs'000	Total KShs'000
Trade payables	3,447,485	-	-	3,447,485
Bank overdraft	439,305	-	-	439,305
Term loans	<u>266,032</u>	<u>-</u>	<u>-</u>	<u>266,032</u>
	<u>4,152,822</u>	<u>-</u>	<u>-</u>	<u>4,152,822</u>

Group

At 30 June 2014				
Trade payables	1,206,697	-	-	1,206,697
Bank overdraft	93,574	-	-	93,574
Term loans	<u>716,032</u>	<u>99,185</u>	<u>-</u>	<u>815,217</u>
	<u>2,016,303</u>	<u>99,185</u>	<u>-</u>	<u>2,115,488</u>

Company

At 30 JUNE 2015	Less than 1 year KShs'000	Between 1 and 2 years KShs'000	Between 2 and 5 years KShs'000	Total KShs'000
Trade payables	2,810,033	-	-	2,810,033
Bank overdraft	335,250	-	-	335,250
Term loans	<u>266,032</u>	<u>-</u>	<u>-</u>	<u>266,032</u>
	<u>3,411,315</u>	<u>-</u>	<u>-</u>	<u>3,411,315</u>

At 30 June 2014

Trade payables	1,897,663	-	-	1,897,663
Bank overdraft	637,000	-	-	637,000
Term loans	<u>716,032</u>	<u>99,185</u>	<u>-</u>	<u>815,217</u>
	<u>3,250,695</u>	<u>99,185</u>	<u>-</u>	<u>3,349,880</u>

Equity price risk

The company is not exposed to equity securities price risk since it does not have investments in quoted equity.

31. CAPITAL MANAGEMENT

The group's objectives when managing capital are to safeguard its ability to continue as a going concern and ultimately build an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the group may adjust the level of borrowings or equity or sell assets to reduce debt.

The group manages the following components as part of capital:

	2015 Kshs '000	2014 Kshs '000
Share capital	1,824,808	1,327,133
Reserves	<u>(1,085,453)</u>	<u>2,010,209</u>
	<u>739,355</u>	<u>3,337,342</u>

32. FAIR VALUE HIERARCHY

a) The table below shows an analysis of all assets and liabilities measured at fair value in the financial statements or for which fair values are disclosed in the financial statements by level of the fair value hierarchy. These are grouped into levels 1 to 3 based on the degree to which the fair value is observable.

- Level 1- fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2 -fair value measurements are those derived from inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices);and
- Level 3 -fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs)

Group	Level 1 Shs.'000	Level 2 Shs.'000	Level 3 Shs.'000
30 June 2015			
Investment property	-	-	2,300,000
Freehold Land and buildings	-	-	1,500,000
Term loan	-	-	266,032
30 June 2014			
Investment property			2,200,000
Freehold Land and buildings			1,500,000
Term loan			826,150
Company			
30 June 2015			
Freehold Land and buildings	-	-	1,500,000
Term loan			266,032
30 June 2014			
Freehold Land and buildings			1,500,000
Term loan			826,150

32. FAIR VALUE HIERARCHY (continued)

i) Investment property and freehold land and buildings

The Group/company's freehold land and buildings were revalued in July 2015 while the group investment property was last valued in July 2015. The valuations were based on market value

There were no purchases or sales within the revalued property. There were no transfers between the levels.

The significant unobservable inputs used in the fair value measurement of the company's property and buildings are price per acre, estimated rental value per sqm per month and capital expenditure for similar property. Significant increases (decreases) in any of those inputs in isolation would result in a significantly lower (higher) fair value measurement.

Fair value of the freehold land and buildings and investment property was determined by using market comparable method or the depreciated replacement cost where market comparable was not available. This means that valuations performed by the valuer are based on active market prices, significantly adjusted for difference in the nature, location or condition of the specific property. The valuations were performed by Kiragu and Mwangi associates, an accredited independent valuer.

The valuers applied the depreciated replacement cost method to reflect the current market values of the buildings. The current replacement cost of all the improvements, including professional fees, were depreciated on the basis of age, use, condition, maintenance and obsolescence. The gross replacement cost was estimated to be the total cost to construct, at current prices, as of the effective date of the valuation, a duplicate or replica of the building using the materials, construction standards, design, layout and quality of workmanship specified in the existing building construction plans and specifications.

The gross replacement cost of the buildings was determined using a reasonable current replacement cost depending on construction, function, location and required specification of the building as guided by the Ministry of Public Works and as per cost utilised by quantity surveyors in the building industry.

The fair value of this land was determined by using market comparable method. The fair value of the buildings, plant and machinery was determined by using market comparable method or the depreciated replacement cost where the market comparable method was not available. The depreciated replacement cost is the cost of acquiring, and installing a new or modern substitute asset having the same production capacity as that applied to assets which are part of an operating concern and assumes adequate profitability.

The carrying amounts of the freehold land and buildings were adjusted to the revalued amounts and the resultant surplus net of deferred income tax was credited to the revaluation surplus in equity. The investment property is on LR No. 25544 and measures 19.7333 acres while the freehold land and buildings are on LR No. 209/399/3 and LR No 206/12593 measures 2.5 and 3.7 acres respectively.

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NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 30 JUNE 2015

32. FAIR VALUE HIERARCHY (continued)

i) Investment property and freehold land and buildings (continued)

i) Loans

The estimated fair value of loans represents the discounted amount of estimated future cash outflows.

b) Set out below, is a comparison by class of the carrying amounts and fair value of the Group's financial instruments

	2015 KShs'000		2014 KShs'000	
	Carrying amount	Fair value	Carrying amount	Fair value
<i>Group</i>				
Term loan	266,032	266,032	815,217	826,150
Cash	134,676	134,676	133,583	133,583
Trade receivables	60,833	60,833	58,987	58,987
Trade payables	3,447,485	3,447,485	2,325,577	2,325,577
Bank Overdrafts	439,305	439,305	93,574	93,574

	2015 KShs'000		2014 KShs'000	
	Carrying amount	Fair value	Carrying amount	Fair value
<i>Company</i>				
Term loan	266,032	266,032	815,217	826,150
Cash	121,945	121,945	219,919	219,919
Trade receivables	54,273	54,273	55,358	55,358
Trade payables	2,810,033	2,810,033	1,724,653	1,724,653
Bank Overdraft	335,250	335,250	-	-

The management assessed that cash, trade receivables, trade payables, bank overdrafts and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

33. CAPITAL COMMITMENTS

There were no contracted capital commitments as at 30 June 2015. (2014:nil)

34. OPERATING LEASE COMMITMENTS

Operating lease commitments - Group and company as lessee

Non-cancellable operating lease rentals are payable as follows:

	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
Not later than one year	726,151	671,294	558,337	537,254
Later than one year and not later than five years	2,835,766	2,712,762	2,317,918	2,382,267
Later than five years	<u>645,356</u>	<u>1,305,921</u>	<u>516,877</u>	<u>894,817</u>
	<u>4,207,273</u>	<u>4,689,977</u>	<u>3,393,132</u>	<u>3,814,338</u>

The group leases a number of branches and office premises under operating leases. The leases typically run for a year up to ten years, with an option to renew the lease after that date. Lease payments are increased accordingly to reflect market rentals.

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35. CONTINGENT LIABILITIES

Uchumi Supermarkets (Uganda) Limited received a notice of assessment in 2011 from Uganda Revenue Authority amounting to KShs.75.8 million which relates to a variance noted between the purchases included in the financial statements and those declared in the returns for the years 2004 to 2008. The company objected to this assessment since it could support the disallowed expenses and, therefore, no provision has been made in these financial statements.

36. PRIOR YEAR ADJUSTMET

(a) Sale of property and equipment.

In 2014 the company had made a sale of assets through a sale and lease back arrangement, however, the contract was finalized in financial year 2015. The directors have resolved to reverse the sale and recognize it in the current financial year.

(b) Un-presented cheques

As of 30 June 2014 the company, had unpresented cheques amounting to 746 million reflected in the bank reconciliation, the board has recommended these be reversed since it is not possible to ascertain whether they had been released to the suppliers at year end.

On the basis of the above facts and discussion, the statement of comprehensive income, statement of financial position and statement of changes in equity have been restated to correct the accounting treatment relating to the various line items affected as follows:

	Note	As previously stated Kshs '000	Adjustments Kshs '000	As restated Kshs '000
<u>Statement of financial position</u>				
<u>Non-current assets</u>				
Property and equipment	I	1,974,005	330,431	2,304,436
Intangible assets		12,278	-	12,278
Prepaid operating lease rentals		19,201	-	19,201
Investment in subsidiaries		205,129	-	205,129
		<u>2,210,613</u>	<u>330,431</u>	<u>2,541,044</u>
<u>Current assets</u>				
Inventories		1,087,007	-	1,087,007
Trade and other receivables	ii	739,161	(405,999)	333,162
Amounts due from related parties		1,205,512	-	1,205,512
Cash and bank	iii	110,357	109,562	219,919
		<u>3,142,037</u>	<u>(296,437)</u>	<u>2,845,600</u>
		<u>5,352,650</u>	<u>33,994</u>	<u>5,386,644</u>
<u>Equity</u>				
Share capital		1,327,133	-	1,327,133
Reserves	iv	1,276,324	(19,972)	1,256,352
		<u>2,603,457</u>	<u>(19,972)</u>	<u>2,583,485</u>
<u>Non-current liabilities</u>				
Deferred tax		78,185	-	78,185
Term loans		99,185	-	99,185
		<u>177,370</u>	<u>-</u>	<u>177,370</u>
<u>Current liabilities</u>				
Trade and other payables	v	1,206,697	690,966	1,897,663
Deferred revenue		10,903	-	10,903
Tax payable		1,191	-	1,191
Term loans		716,032	-	716,032
Bank overdraft	vi	637,000	(637,000)	-
		<u>2,571,823</u>	<u>53,966</u>	<u>2,625,789</u>
		<u>5,352,650</u>	<u>33,994</u>	<u>5,386,240</u>

36. PRIOR YEAR ADJUSTMET (Continued)

Note Comments

- (i) The adjustment is the net book value of assets disposed with intention of lease back of Kshs 330,431,000 which is a reclassification back to property and equipment from other receivables.
- (ii) Kshs 349,999,443 is the reversal of disposal amount of property and equipment in (i) from other receivables and includes Kshs 55,999,911 which relate to the VAT payable on disposal.
- (iii) Kshs 109,562,000 is reversal of un-presented cheques in (v) below to cash and bank balances from accounts payable.
- (iv) Kshs 19,972,000 is gain on disposal of property and equipment being reversed from retained earnings
- (v) Includes Kshs 746,562,345 being reversal of un presented cheques to account payables and reversal of Kshs 55,999,911 relating to the VAT payable on the sale of property and equipment.
- (vi) Reversal of un presented cheques of Kshs 746,562,345 in the overdraft account to account payables.

	Note	As previously stated Kshs '000	Adjustments Kshs '000	As restated Kshs '000
<u>Statement of comprehensive income</u>				
REVENUE				
Sales		12,421,044	-	12,421,044
Income from redemption of loyalty points		<u>80,142</u>	-	<u>80,142</u>
		12,501,186		12,501,186
COST OF SALES		<u>(10,138,799)</u>	-	<u>(10,138,799)</u>
		2,362,387		2,362,387
OTHER INCOME	iv	<u>546,831</u>	(19,972)	<u>526,859</u>
		2,909,218		2,889,246
EXPENSES:-				
Administration and establishment		(2,527,084)	-	(2,527,084)
Selling and distribution		<u>(117,963)</u>	-	<u>(117,963)</u>
		<u>(2,645,047)</u>		<u>(2,645,047)</u>
PROFIT FROM OPERATING ACTIVITIES		264,171		244,199
FINANCE COSTS		<u>(64,640)</u>	-	<u>(64,640)</u>
PROFIT BEFORE TAX		199,531		179,559
INCOME TAX CREDIT / (EXPENSE)		<u>(68,461)</u>	-	<u>(68,461)</u>
PROFIT FOR THE YEAR		<u><u>131,070</u></u>		<u><u>111,098</u></u>

37. EVENTS AFTER THE REPORTING DATE

Subsequent to the year ended 30 June 2015, the Board of Uchumi Supermarkets Limited resolved to cease the operations of the company's subsidiaries in Uganda and Tanzania. This was mainly due to the loss making history of the subsidiaries. This meant that the parent company has been supporting these 2 subsidiaries to the tune of KES 2 million per day. With the exit from these subsidiaries, a conservative saving will be an upside of KES 600 million per annum to the parent company. In addition to this management will be able to focus fully on the Kenyan operation.

38. Future Prospects

Uchumi Supermarkets Limited has gone through a turbulent period in the last 3 years due to an aggressive expansion program in the region, but in the process there was no sound funding policy for the expansion. The board and management were utilizing funds from working capital to fund projects that were long term in nature. This constrained cash flows leading to the stores not having sufficient goods and this spiraled into underperformance.

In May 2015 new members joined the board, having come in through the rights issue of late 2014. In place is also a new management team.

The board and management have taken bold steps to ensure that Uchumi Supermarkets Limited survives and thrives going forward

The group had a net loss after tax of Kshs 3.4 billion for the year ended 30 June 2015 (2014: profit of Kshs 364 million) and as of that date, its current liabilities exceeded its current assets by Kshs 3.4 billion (2014: Kshs 1.5 billion). The company's directors have made an assessment of the company's ability to continue as a going concern and are satisfied that the company has the resources to continue in business for the foreseeable future. The directors are of the opinion that the company is a going concern on the basis that:

- ▶ Post balance sheet closure of Uganda and Tanzania operations which has released resources to the main operations
- ▶ The company has obtained support from the main bankers of the Group - KCB
- ▶ The directors expect that the company will generate cash inflows from operations of at least the amount projected in management's annual operating plan. The generation of sufficient cash flows from operations is dependent on management achieving operational targets average revenue per shopper.
- ▶ Management is developing key initiatives which aim to return the company to profitability
- ▶ Implementation of an expertly informed transformation plan which is underway.
- ▶ Sale of non-core Property is on-going

The directors are confident that the funding mechanisms described above will be available to the company to support its obligations as required.

The financial statements have been prepared on the basis of accounting policies applicable to a going concern. This basis presumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities, contingent obligations and commitments will occur in the ordinary course of business.